



ENTREPRENEURSHIP

STUDENT'S BOOK

**FOR SENIOR 2
ORDINARY LEVEL**

Experimental version

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FOREWORD

Dear Student,

Rwanda Basic Education Board is honored to present to you this Entrepreneurship Student's Book for Senior two which serves as a guide to competence-based teaching and learning to ensure consistency and coherence in the learning of Entrepreneurship subject. The Rwandan educational philosophy is to ensure that you achieve full potential at every level of education which will prepare you to be well integrated in society and exploit employment opportunities.

The government of Rwanda emphasizes the importance of aligning teaching and learning materials with the syllabus to facilitate your learning process. Many factors influence what you learn, how well you learn and the competences you acquire. Those factors include the instructional materials available among others. In this book, special attention was paid to the activities that facilitate the learning process in which you can develop your ideas and make new discoveries during concrete activities carried out individually or with peers.

In competence-based curriculum, learning is considered as a process of active building by the learner where concepts are mainly introduced by an activity, a situation or a scenario that helps the learner to construct knowledge, develop skills and acquire positive attitudes and values.

For effective use of this textbook, your role is to:

- Work on given activities which lead to the development of knowledge and skills;
- Share relevant information with other learners through presentations, discussions, group work and other active learning techniques such as field visit, laboratory work, investigation, role play, case studies and research in the library, from the Internet or from your community;
- Participate and take responsibility for your own learning;
- Draw conclusions based on the findings from the learning activities.

I wish to sincerely extend my appreciation to REB staff who organized the editing process of this book. Special gratitude goes to the lecturers, teachers, illustrators and designers who diligently worked to successful completion of this book. Any comment or contribution would be welcome for the improvement of this textbook for the next edition.



Dr. MBARUSHIMANA Nelson

Director General, REB



ACKNOWLEDGEMENT

I wish to express my appreciation to all the people who played a major role in editing process of Entrepreneurship Student's Book for Senior Two. It would not have been successful without their active participation.

Special thanks are given to those who gave their time to read and refine this textbook to meet the needs of competence-based curriculum. I owe gratitude to different Universities and secondary schools in Rwanda that allowed their staff to work with REB to edit this book. I therefore, wish to extend my sincere gratitude to lecturers, teachers, illustrators, designers and all other individuals whose efforts in one way or the other contributed to the completion of this edition.

Finally, my word of gratitude goes to the Rwanda Basic Education Board staff particularly those from Curriculum, Teaching and Learning Resources Department who were involved in the whole process of editorial work.



Joan MURUNGI,

Head of Department of Curriculum, Teaching and Learning Resources



INTRODUCTION

Welcome to the Entrepreneurship Senior Two Student Textbook!

In Senior One, you began your journey into the world of entrepreneurship. In this book, you will go deeper building on what you already know and developing new skills that will prepare you for real-life opportunities in business and work.

This textbook has eight units, each covering an important and practical topic:

Unit 1: Role, Benefits and Challenges of an Entrepreneur builds on your understanding of what entrepreneurs do. You will explore how entrepreneurs contribute to the development of society, the personal benefits of being an entrepreneur, and the real challenges that come with running a business.

Unit 2: Setting Personal Goals and Priorities teaches you how to set clear and achievable goals for yourself. You will learn about SMART goals, goals that are Specific, Measurable, Achievable, Relevant, and Time-bound, and how to manage your personal priorities to stay focused and productive.

Unit 3: Role of Work in Socioeconomic Development helps you understand how the work people do in a community contributes to national development. You will also explore the role of gender in the workplace and identify activities that can slow down development.

Unit 4: The Market introduces you to how markets work. You will learn about supply and demand, different types of markets, and how economic integration connects Rwanda to the rest of the world.

Unit 5: Taxes in Rwanda explains what taxes are, why they matter, and how Rwanda's tax system works. You will learn about different types of taxes, the rights and obligations of taxpayers, and how to register with the tax system, important knowledge for any future business owner.

Unit 6: Personal Financial Habits and Budgeting helps you develop healthy money habits. You will learn practical techniques for managing money wisely and how to create a personal budget to plan your income and spending.

Unit 7: Introduction to Accounting Entries for a Business takes your accounting knowledge further. You will learn about source documents, the accounting equation, the double-entry bookkeeping system, and books of prime entry, essential tools for keeping accurate business records.

Unit 8: Concepts of Metrology and Quality Testing introduces you to the science of measurement and quality control. You will learn about accurate measurement, base units, and how quality testing helps businesses maintain high standards in their products and services.

Throughout this book, you will find real-life scenarios, group activities, and end-of-unit assessments to help you practise and apply what you have learned. Entrepreneurship is not just a subject, it is a way of thinking and acting that can transform your life and your community.

As you work through each unit, challenge yourself to connect what you learn in class to what you see and experience every day. The skills and knowledge in this book will help you become a confident, responsible, and innovative young person ready to contribute to Rwanda's growth and prosperity.

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UNIT 1:

ROLE, BENEFITS, AND CHALLENGES OF AN ENTREPRENEUR

Key Unit competence:

Ability to evaluate the role, benefits and challenges of being an entrepreneur.

Learning Objectives

At the end of this unit, you should be able to:



Knowledge and understanding:	Skills	Attitude and values
Discuss the role of an entrepreneur in socio-economic development	Assess the role of an entrepreneur in socioeconomic development	Appreciate the role of an entrepreneur in socioeconomic development
Describe the benefits and challenges of being an entrepreneur	Analyse the benefits and challenges associated with being an entrepreneur	Develop a positive attitude towards being an entrepreneur
		Participate in entrepreneurial activities of their business clubs

1.0 Introduction

Entrepreneurs play an important role in improving the social and economic well-being of a community. They create businesses that offer goods and services needed by people. Through their activities, entrepreneurs also create employment opportunities for others. They help in using local resources productively to support development. Becoming an entrepreneur can bring personal benefits such as increased income and independence. However, entrepreneurship also involves challenges like long working hours and business risks. Understanding these benefits and challenges helps learners appreciate the realities of starting and managing a business. This unit, therefore, introduces the key roles, benefits, and challenges that entrepreneurs experience in society.



Introductory Activity

A young person in your community wants to start a small business selling snacks near the school. They plan to make and sell cakes, drinks, and sandwiches. They hope to earn money to support themselves and help their family, but they are not sure what challenges they might face or what benefits they could gain.

1. What roles do you think this young person will play in the community by starting this business?
2. What benefits might they get from being an entrepreneur?
3. What challenges do you think they could face?
4. If you were in their place, would you start the business? Why or why not?



Figure 1.1: Entrepreneurs play an important role in the community.

1.1 Role and Benefits of an Entrepreneur

Learning Activity 1.1

A young person in your community wants to start a small business making and selling homemade juice and snacks. They hope to earn money to support themselves and help their family. They also want to create jobs for friends and provide a product that the community needs.

- (i) In groups, discuss the roles this entrepreneur might play in the community and the country
- (ii) Identify the benefits the entrepreneur could gain personally from running the business
- (iii) Think about how the community benefits from the entrepreneur's activities
- (iv) Share your ideas with the class.

1.1.1. Role of an entrepreneur in the socio-economic development

Entrepreneurs play a very important role in the success of a modern society. Economists use models to explain this role, one of which is the circular flow model. The circular flow model shows the relationship between households and businesses. Households refer to consumers and workers who buy goods and services and provide labour. Businesses produce goods and services and employ labour. Entrepreneurs organise these businesses by combining resources, labour, and capital. The inner flow shows the movement of goods and services, while the outer flow shows the movement of money in the form of wages and payments. Without entrepreneurs, businesses would not exist. Entrepreneurs are therefore essential to a country's socio-economic development.

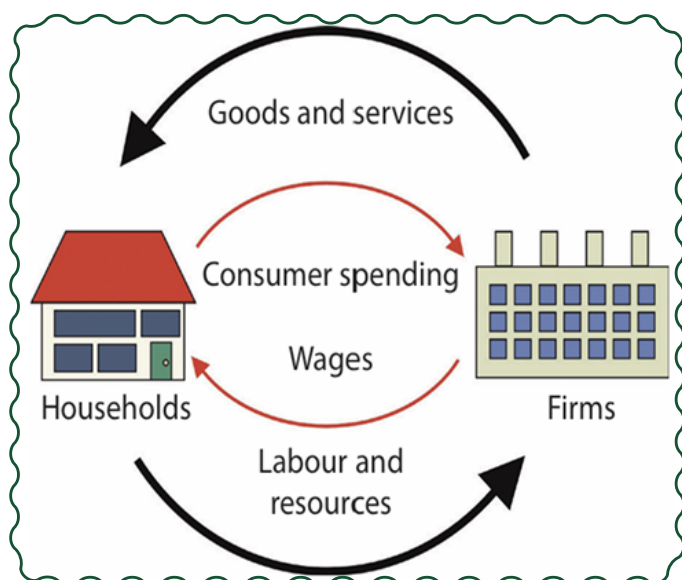


Figure 1.2: A circular flow model showing the relationship between businesses and households

1.1.2 Benefits of being an entrepreneur

Being an entrepreneur has several important benefits. Entrepreneurs can earn increased income depending on the effort and success of their businesses. They enjoy self-reliance because they depend on their own skills, judgement, and abilities rather than on an employer. Entrepreneurs also have independence in decision-making, as they control how their businesses are managed. Successful entrepreneurs often gain improved social and professional status within the community, which increases self-esteem and confidence. Entrepreneurship provides self-employment, offering greater job security compared to paid employment. In addition, a well-established business provides a permanent address and identity for the entrepreneur, making it easier to access services such as banking and credit. These benefits motivate many people to engage in entrepreneurial activities.



APPLICATION ACTIVITY 1.1

1. Identify one entrepreneur in your community or school environment (e.g., boutique owner, farmer, tailor, hairdresser, mechanic, milk seller, carpenter, mobile money agent, etc.).
2. Discuss the entrepreneur's role in socio-economic development by writing short responses to the following:
 - a. What goods or services does the entrepreneur provide?
 - b. How do they contribute to job creation?
 - c. How do they help meet community needs or improve people's lives?
 - d. How might their business support the local or national economy?
3. Describe the benefits the entrepreneur enjoys, based on your observations or knowledge:
 - a. Increased income
 - b. Self-reliance
 - c. Independent decision-making
 - d. Improved social or professional status
 - e. Any other benefits related to successful entrepreneurship
4. Assess and reflect on the entrepreneur's contribution by answering:
 - a. Why do you think this entrepreneur is important in the community?
 - b. What inspires you most about how they run their business?
 - c. Write 3-4 sentences about the entrepreneur you studied:
 - d. What do you appreciate most about this entrepreneur's work in the community?
 - e. How does this example make you feel about becoming an entrepreneur in the future?
 - f. How could you participate in your school's business club or entrepreneurial activities based on what you have learned?

1.2 Challenges of Being an Entrepreneur



Learning activity 1.2

In your community, a young entrepreneur named Mutabaruka decides to start a small bakery business. At first, he is excited and motivated. However, after a few months, he began to face many difficulties. The cost of ingredients continues to increase, he has to work very early in the morning and late at night, and sometimes customers do not pay on time. Mutabaruka also worries that his business might fail because there are many competitors in the area. He begins to wonder whether he made the right decision.

Discuss the following questions in pairs or small groups:

1. What challenges do you think Mutabaruka is facing in his business?
2. Why do you think these challenges are common for many entrepreneurs?
3. If you were Mutabaruka, what would worry you the most?
4. Do these challenges make entrepreneurship risky? Explain your point of view.

Entrepreneurs face many difficulties when starting and running a business. These challenges can affect how the business operates and how much profit it makes. Some of the challenges of being an entrepreneur include:

- Entrepreneurs often work long and irregular hours. They may start work early in the morning and continue late into the night, including weekends and holidays. This happens because they carry many responsibilities, especially during the early stages of the business.
- Entrepreneurship also involves high levels of risk. Businesses may experience losses due to low sales, theft, accidents, price changes, and increased competition. Entrepreneurs must be prepared to face and manage these risks.
- Income for entrepreneurs is usually uncertain. Unlike salaried workers, entrepreneurs do not earn a fixed monthly income. Some periods may generate low profits or none at all, making financial planning difficult.
- Entrepreneurs do not automatically receive fringe benefits such as medical insurance, paid leave, or retirement benefits. They must arrange and finance these benefits on their own.
- Many entrepreneurs face the challenge of inadequate capital. Limited funds can affect the ability to start, expand, or improve the quality of the business.
- Competition is another major challenge. Entrepreneurs must compete with other businesses offering similar products or services, which may reduce sales and profits.
- Some entrepreneurs also lack adequate experience or skills in areas such as marketing, record-keeping, customer care, and financial management. This can lead to poor decision-making and business failure if not addressed.



APPLICATION ACTIVITY 1.2

Imagine you are an entrepreneur starting a small business in your community (e.g., bakery, shop, or salon).

1. Identify at least three challenges you are likely to face.
2. For each challenge, suggest possible solutions to overcome it.
3. Which challenge do you think would be the hardest? Explain briefly.
4. Share your responses in class and discuss how entrepreneurs can manage risks and remain motivated despite challenges.



1.3. End of unit assessment

1.3.1 Questions for Assessment

A. Knowledge and understanding

1. Define an entrepreneur.
2. Describe the role of an entrepreneur in socio-economic development.
3. List four benefits of being an entrepreneur.
4. Identify four challenges entrepreneurs face when running a business.
5. Explain why entrepreneurs are important for the growth of the community and the country.

B. Skills

1. Assess the role of an entrepreneur in your community. Give at least two examples of how they contribute to socio-economic development.
2. Analyse the benefits an entrepreneur gains from running a business. Explain how these benefits influence the entrepreneur's life.
3. Examine the challenges faced by a local entrepreneur and suggest possible solutions to overcome each challenge.

C. Attitude and Values

1. Explain why you think entrepreneurship is important for improving the lives of people in your community and country.
2. Describe one way you can develop a positive attitude toward being an entrepreneur.
3. Give one example of how participating in your school's entrepreneurship club can help you appreciate the work of entrepreneurs.
4. Reflect briefly on how learning about the roles, benefits, and challenges of entrepreneurs might influence your own future decisions about starting a business.

Project Activity 1.3.2

Identify one entrepreneur in their community or school area (such as a tailor, farmer, shop owner, hairdresser, or mobile money agent). Collect information on the goods or services they provide, how they create jobs, and how they meet community needs. Then, evaluate the benefits they enjoy, the challenges they face and how they resolve them. Learners present their findings in a short written report of one page, followed by an oral presentation to the class. Finally, write a short reflection of three to four sentences explaining what they learned and how it influences their attitude toward entrepreneurship.

UNIT 2:

SETTING PERSONAL GOALS AND PRIORITIES

Key Unit competence:

Ability to create SMART goals and develop a plan to achieve them

Learning Objectives

At the end of this unit, you should be able to:



Knowledge and understanding:	Skills	Attitude and values
– Explain the meaning of goal setting and SMART goals – Distinguish between short-term and long-term goals – Explain the meaning of work prioritization – Describe the importance of personal work prioritization – Describe how digital tools and AI-based applications can support goal setting and planning	– Classify goals into short-term and long-term goals – Set SMART goals – Take steps to achieve set goals – Use AI-supported tools to clarify goals, organise tasks and track progress	– Appreciate the need for setting SMART goals – Show interest in setting SMART personal goals – Use digital tools and AI ethically and responsibly, without over-dependence

2.0 Introduction

Success in life and business depends on knowing what to achieve and focusing on what matters most. This unit helps learners understand how to set clear and achievable SMART goals, plan short-term and long-term objectives, and prioritise personal tasks effectively. These skills support better management of schoolwork, personal responsibilities, and future entrepreneurial activities. By applying goal-setting and prioritisation skills, learners become organised and make steady progress toward their ambitions.



Introductory Activity

Imagine standing at the summit of Mount Karisimbi, the highest mountain in Rwanda, in your dreams. This dream may seem big, but with clear planning and determination, it can become achievable. In small groups, discuss the questions below. You may also use a digital tool or AI assistant (such as a school-approved AI platform) to help generate ideas, examples and explanations about goal setting.

1. What is a goal? Use your own understanding or ask an AI tool to explain what a goal is in simple terms.
2. What does it mean to set a goal? Discuss how planning and decision-making help turn dreams into achievable goals. You may compare your ideas with examples suggested by an AI tool.
3. Why are goals important in life? Use examples from school, home, or future careers. An AI tool may help you list reasons or real-life examples of how goals help people succeed.

2.1 Concept of SMART Goals and Setting Long-Term and Short-Term Goals



Learning activity 2.1

Think of two personal goals you want to achieve this term: one short-term and one long-term and use simple AI tools available to you or any school computer programs with AI features, to help you:

- Check if your goal is specific and measurable.
- Suggest small steps to achieve your goal.
- Identify skills or resources that could help you succeed.

2.1.1 Concept of SMART Goals

A goal is something a person aims to achieve in the future, whether in personal life, education, or business. Goal setting provides direction and helps individuals focus on what is important.

SMART goals are goals that are Specific, Measurable, Achievable, Relevant, and Time-bound. The SMART approach helps learners set clear and realistic goals that can be achieved within a given period. Using SMART goals guides actions and improves the chances of success.

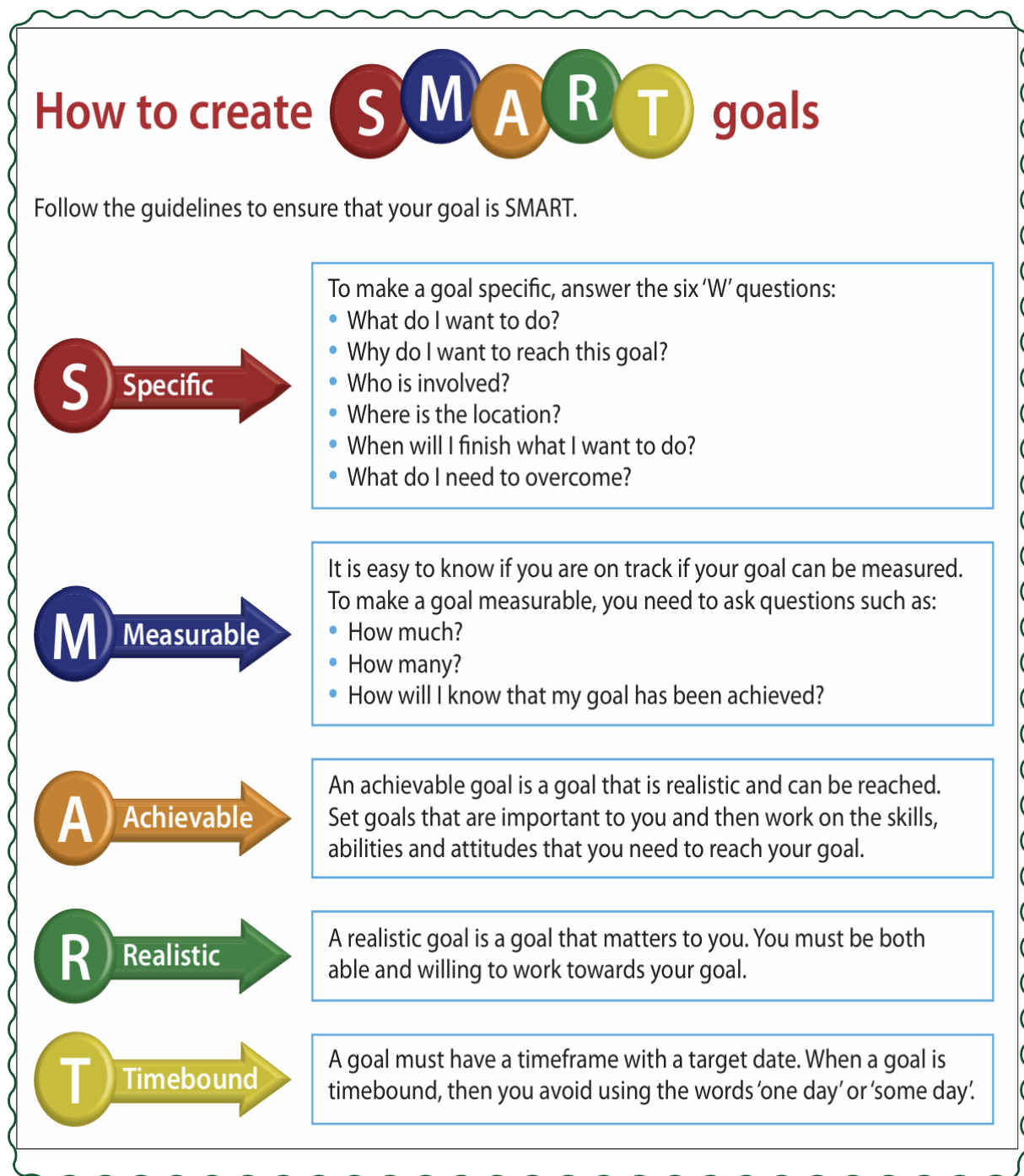


Figure 2.1: Creating a smart goal

2.1.2 Setting Long-Term and Short-Term Goals

Goals

Goals can be grouped according to the time required to achieve them.

Short-term goals are achieved within a short period, such as days or weeks. They often serve as steps toward bigger goals. Example: Saving money to start a small business this month.

Long-term goals take several months or years to achieve and require consistent effort and planning.

Example: Becoming a successful entrepreneur in Rwanda.



Figure 2.2: Reaching a short-term goal can be like picking the low-hanging fruit on a tree.

Steps to Set SMART Goals

To set effective goals, learners should:

1. Identify priorities: Decide which goals are most important.
2. Set start and end points: Determine when to begin and when to achieve the goal.
3. Identify required skills: Assess the knowledge and abilities needed.
4. Explore opportunities: Look for available support and resources.
5. Develop strategies: Break the goal into smaller, manageable steps.
6. Anticipate obstacles: Identify possible challenges and plan solutions.

Applying these steps helps learners set realistic and achievable goals for school, personal life, and entrepreneurship.



APPLICATION ACTIVITY 2.1

Use AI tools to help clarify your ideas and make your goals SMART. Evaluate AI suggestions critically before finalising your answers.

1. State a chosen goal in simple terms.
2. Rewrite the goal as a SMART goal, explaining:
 - How it is Specific
 - How progress will be measured
 - Why it is Achievable
 - Why it is Relevant

- The Time frame for completion
3. Identify one short-term goal that supports the SMART goal.
 4. Identify one long-term goal related to the SMART goal.
 5. Describe one possible obstacle and how it can be overcome (AI tools can suggest strategies).
 6. Explain the importance of SMART goals in achieving success at school or in entrepreneurship.

2.2 Personal work priorities



Learning activity 2.2

Mukamabano is a Senior Two learner. On the same day, homework must be completed, household cleaning is required, and time is desired for chatting with friends. All activities are important, but prioritisation is needed.

Use the scenario to answer the questions. You can also use an AI tool to suggest the best order of tasks based on urgency and importance.

1. Which activity should be done first? Explain your reasoning.
2. Classify each task as urgent, important, both, or neither.
3. Predict problems that may arise if tasks are not well organized.
4. Suggest a simple method (like a To-Do list or Eisenhower Matrix) to decide task priority.

2.2.1 Meaning, Importance, and Identification of Personal Tasks

Personal work priorities are tasks and responsibilities that require attention to achieve good performance at school, at home, and in future business activities. Setting priorities helps learners manage time effectively, reduce stress, and complete tasks on time.

Tasks can be grouped as:

- Urgent tasks: Require immediate action, such as homework due the next day.
- Important tasks: Contribute to long-term success, such as exam preparation.

Understanding this difference helps learners focus on meaningful activities.

2.2.2 Techniques for Prioritizing Work

Learners can use simple tools such as:

a. To-Do Lists

A written list of tasks for a day or week that helps track progress and avoid forgetting responsibilities.

b. Eisenhower Matrix (Priority Matrix)

A tool that classifies tasks into four categories:

- Urgent and important – Do it yourself immediately
- Important but not urgent – Schedule it and complete it yourself
- Urgent but not important – DELEGATE
- Not urgent and not important - LEAVE IT or Delete

This method helps learners decide what to do first and what can wait.



Figure 2.3: Eisenhower Matrix, a tool used to help people prioritize their work/ tasks

2.2.3 Managing Schoolwork with Personal and Family Responsibilities

Learners often balance school assignments, household duties, and personal activities. Effective management requires planning, prioritising important tasks, reducing distractions, and communicating needs to family members. Proper prioritisation improves performance both at school and at home.



APPLICATION ACTIVITY 2.2

Kagoyire, a Senior Two learner, wants to improve academic performance and start a small holiday project selling homemade juice. Balancing schoolwork, household duties, and personal time has become challenging.

1. Identify one short-term goal and one long-term goal Kagoyire might set.
2. Rewrite one goal as a SMART goal.
3. Mention two tasks Kagoyire must manage and classify each as urgent or important.
4. Suggest one prioritisation method and explain how it helps.
5. Identify one challenge and propose a solution.



2.3 End of unit assessment

2.3.1 Questions for Assessment

A. Knowledge and understanding

1. Explain why people need to set goals in daily life.
2. Describe the purpose of using the SMART approach in goal setting.
3. Give one example each of a short-term and a long-term goal.

B. Skills

1. Classify the following goals as short-term (ST) or long-term (LT):
 - (a) Completing revision for a test this week
 - (b) Starting a business after completing school
 - (c) Saving money to buy study materials next month
 - (d) Building a successful career in entrepreneurship
2. Write one SMART goal to be achieved this term.
3. List three actions needed to achieve the SMART goal.

C. Attitude and Values

1. Explain why learners should value early goal planning.
2. Describe one behaviour that shows commitment to achieving goals.
3. Explain how goal setting improves responsibility at school and home.

2.3.2 Project Activity

Using the Eisenhower Matrix to Prioritise Personal Works

1. Write down one personal SMART goal you want to achieve this week (e.g., improving homework completion, saving money, or preparing for a test).
2. List all tasks for one week, including schoolwork, personal activities, and family responsibilities.
3. Draw the Eisenhower Matrix with four sections.
4. Place each task in the correct section.
5. Use the matrix to design a weekly plan that supports your SMART goal
6. Follow the plan for one week and keep notes on your progress.

7. At the end of the week, write a reflection of 5-7 sentences explaining:
 - a. The SMART Goal
 - b. Achievements made towards the goal
 - c. Challenges faced and how you managed them
 - d. Lessons learned, and improvements for future planning.

UNIT 3:

ROLE OF WORK IN SOCIO-ECONOMIC DEVELOPMENT

Key Unit competence:

Ability to evaluate the role of work in socio-economic development.

Learning Objectives

At the end of this unit, you should be able to:



Knowledge and understanding	Skills	Attitude and values
– Identify the various activities undertaken in the community – Explain the types of work done in the community – Give examples of activities that hinder socioeconomic development – Explain the meaning of gender and gender equality at work.	– Analyse different activities according to the types of work – Examine the contribution of work to socioeconomic development – Discover activities that hinder socio-economic development – Analyse examples of gender balance in different types of work	– Appreciate the role of an entrepreneur in socioeconomic development – Develop a positive attitude towards being an entrepreneur – Participate in entrepreneurial activities of their business clubs

3.0 Introduction

Work plays a vital role in the development of any community. Through work, people earn income, produce goods and services, and improve their standards of living. Communities grow when different types of work, such as agriculture, manufacturing, trading, and service provision, are carried out responsibly. However, some activities can hinder development if they damage the environment or misuse resources. This unit also highlights the importance of gender equality at work so that both men and women can contribute fully to socio-economic development.



Introductory Activity

In the town of Kirehe, residents are engaged in various types of work. Some people farm on the hills, others make clothes and shoes, some sell fruits and vegetables in the market, while others provide services such as teaching, driving, and healthcare. However, deforestation is affecting parts of the town, and some community members believe that certain jobs should be reserved for men or women only.

1. Identify the types of work mentioned in the scenario.
2. Explain how each type of work supports the community.
3. Identify any activities that may harm the community.
4. Discuss how gender stereotypes in work may affect community development.
5. In your own words, explain why work is important for socio-economic development.



Figure 3.1: People engaged in different types of work

3.1 Activities Being Done in the Community



Learning activity 3.1

People in your community engage in farming, manufacturing, trading, and service provision. Men, women, or both do some of these activities.

1. Identify five types of work found in your community.
2. Indicate who mainly performs each type of work (men, women, or both).
3. Explain how each type of work contributes to the community's development.

3.1.1. Concept of Socio-economic Development

Socio-economic development refers to the improvement of people's well-being both socially and economically. It occurs when people have employment, earn income, access education and healthcare, and obtain essential goods and services. Socio-economic development reduces poverty, improves living standards, and supports sustainable community growth.

3.1.2. Types of Work in the Community

❖ Agriculture

Agriculture is a key economic activity in Rwanda. Farmers grow crops such as coffee, tea, maize, beans, bananas, and sweet potatoes, and they also rear livestock. Some farmers work in cooperatives that help them sell their products locally and internationally. Fishing is another agricultural activity carried out near lakes and rivers. Agriculture supports food security and provides raw materials for other sectors.

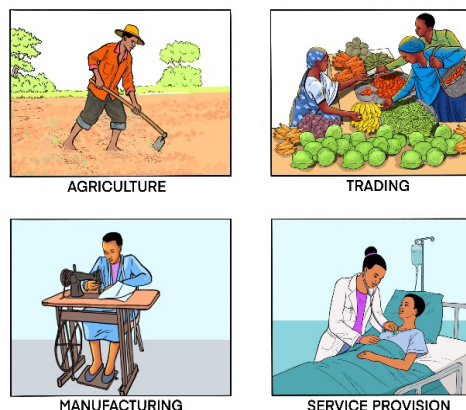


Figure 3.2: Types of work in the community

❖ Manufacturing

Manufacturing involves processing raw materials into finished or semi-finished products. Examples include making clothes, furniture, food products, tools, and crafts. Manufacturing adds value to raw materials, creates employment, and supports economic growth.

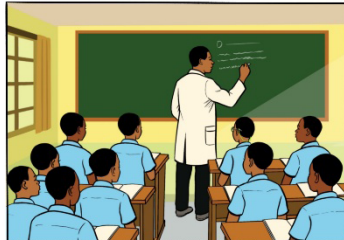
❖ Trading

Trading means buying and selling goods and services with the aim of making profits. Shopkeepers and sales assistants work in this sector. Trading can be wholesale (selling in large quantities from a manufacturer to a shop).

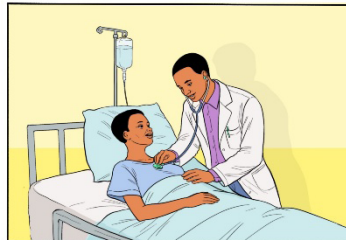
It can be retail (selling products from shops to customers). It can also be online (selling products through websites on the Internet).

❖ Service Provision

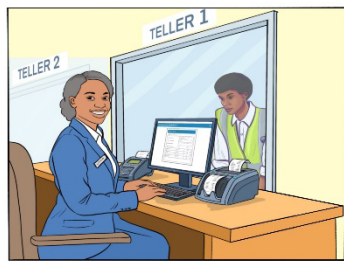
Service provision includes activities such as teaching, healthcare, banking, transport, and communication. These services improve people's quality of life and support other economic activities.



Teaching



Healthcare



Banking



Transportation



APPLICATION ACTIVITY 3.1

In the Rusizi town:

- Farmer Kamikazi grows potatoes.
- Factory owner Ndayambaje processes potatoes into packaged chips.
- Trader Nduwayo sells the packaged chips to customers.

1. Identify the type of work done by Farmer Kamikazi.
2. Identify the type of work done by Trader Nduwayo.
3. Explain how manufacturing connects agriculture and trading in this example.
4. Explain how improved transport infrastructure can support all three types of work.

3.2 Contribution of Work to Socioeconomic Development



Learning activity 3.2

Observe activities in your community such as farming, manufacturing, trading, and service provision.

1. Discuss how each type of work helps people to earn a living, access goods and services, and improve their standards of living.
2. Explain how these contributions support community and national development.

3.2.1. Employment Opportunities

Work creates employment opportunities for people such as farmers, factory workers, traders, teachers, and health workers. Employment provides income, reduces poverty, and strengthens families and communities.

3.2.2. Variety of Goods and Services

Different types of work produce a wide range of goods and services. This variety meets people's needs, improves convenience, and supports daily life.

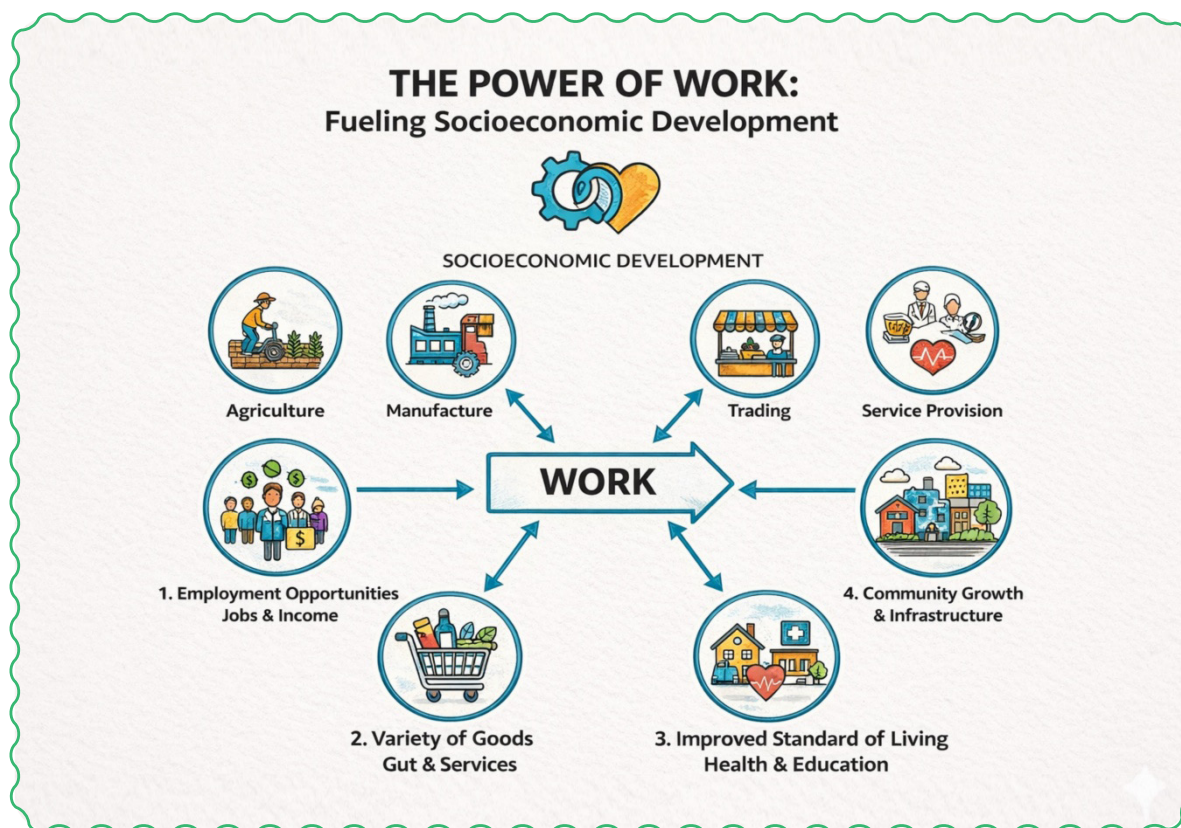


Figure 3.3: Work and socio-economic development

3.2.3. Improving Standards of Living

Income from work enables families to afford better food, housing, education, and healthcare. As a result, people enjoy healthier and more productive lives.

3.2.3. Community Growth

When people work, money circulates within the community, supporting infrastructure development such as schools, roads, and health facilities. This contributes to overall community and national development.



APPLICATION ACTIVITY 3.2

An entrepreneur opens a shoe factory that employs local workers, pays taxes, and attracts nearby businesses.

1. Identify two ways in which the shoe factory contributes to employment in the community.
2. Explain how paying taxes by the factory supports community and national development.
3. Explain how the shoe factory attracting nearby businesses benefits the local economy.
4. Describe how the expansion of the shoe factory can contribute to long-term national development.

3.3 Activities That Hinder Socio-economic Development



Learning activity 3.3

In your community, people engage in different activities to earn a living. However, you may also notice some practices that damage the environment or misuse resources.

1. Identify any two activities in your community that may harm the environment.
2. Explain how each activity could affect people's lives in the long run.
3. Suggest ways to reduce or avoid these harmful activities.

3.3.1. Environmental Challenges

Some activities in the community negatively affect the natural environment and slow down socio-economic development. Deforestation, for example, reduces the number of trees, leading to soil erosion, loss of rainfall, and poor crop production. Overgrazing happens when too many animals feed on the same land, leaving it bare and unproductive. These environmental challenges reduce the community's ability to farm, produce goods, and improve living standards.

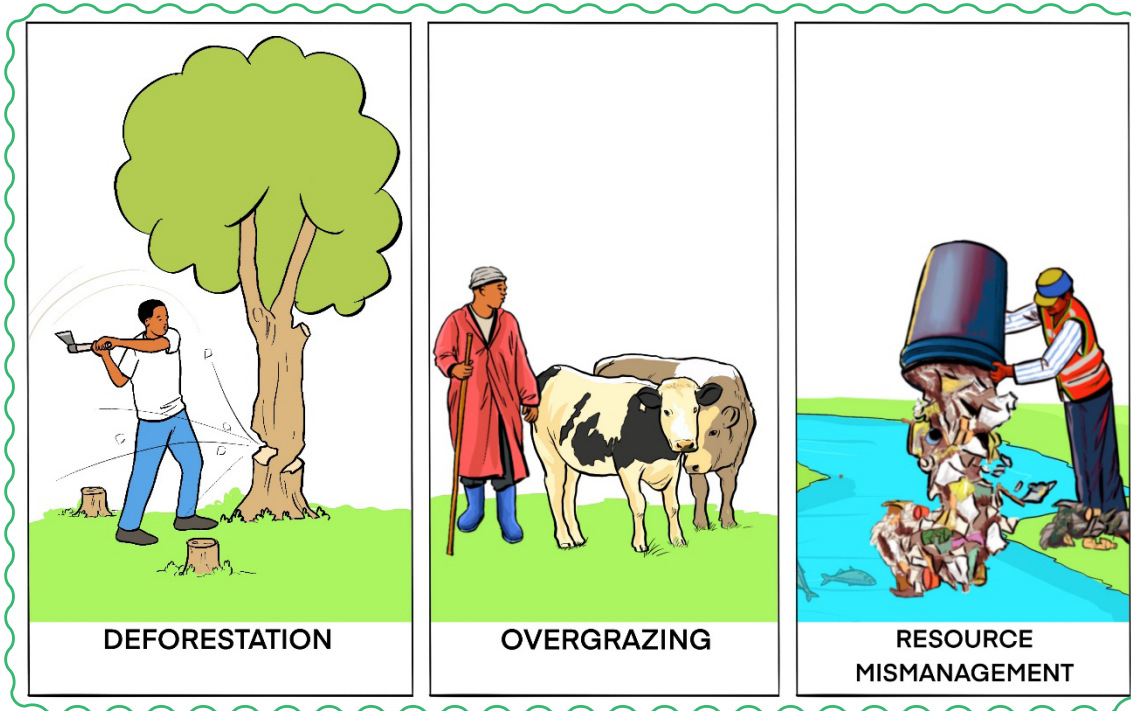


Figure 3.4: Activities that hinder socio-economic development

3.3.2. Resource Mismanagement

Socio-economic development is also hindered when natural resources are misused. Overexploitation of resources, such as cutting too much wood, overfishing, or mining without control, leads to scarcity and long-term damage. Poor waste management, including dumping rubbish in rivers or open spaces, also harms health and the environment. When resources are not used wisely, future generations may struggle to meet their needs, slowing community and national development.



APPLICATION ACTIVITY 3.3

In the village of Kigarama, illegal charcoal burning has increased. As a result, forests are disappearing, rivers are drying up, and farmers are harvesting less than before.

1. Identify the main environmental problem affecting Kigarama.
2. Describe two ways this problem affects the daily lives of community members.
3. Propose two practical actions that community members can take to reduce environmental damage.
4. Suggest one role the local government can play in protecting the environment.
5. Explain how protecting the environment can improve people's livelihoods in the long term.

3.4 Gender and Work



Learning activity 3.4

Think about the people working in schools, markets, farms, hospitals, construction, and transport around your community.

1. Identify a job that is commonly done by men and another commonly done by women.
2. Do you think both men and women can do these jobs? Why or why not?
3. How would allowing both men and women to work in all fields help the community



Figure 3.5: Gender and economic participation

3.4.1 Equal Opportunities

Equal opportunities mean that both men and women should have the same chances to study, work, and participate in all careers. In a developing community, everyone's skills are needed to support growth. When men and women have equal access to jobs, training, and leadership positions, the community benefits from a larger and more diverse workforce.

3.4.2 Breaking Stereotypes

Stereotypes are beliefs that certain jobs are only for men or only for women. For example, some think construction is only for men or that nursing is only for women. These ideas limit people's choices and reduce the number of skilled workers in important sectors. Breaking stereotypes encourages both boys and girls to explore all types of work based on their talents and interests, not on traditional beliefs.

3.4.3 Benefits of Gender Equality

Gender equality leads to a stronger and more productive community. When both men and women work in different fields, more ideas and skills are shared, businesses grow faster, and families earn more income. Gender equality also promotes fairness at the workplace and creates a society where everyone has the chance to succeed. Communities that embrace gender equality develop more quickly socially and economically.



APPLICATION ACTIVITY 3.4

A new health centre is opening in Bugesera. The management encourages both men and women to apply for positions such as nursing, laboratory work, administration, and ambulance driving.

1. Which idea is the health centre promoting?
2. Explain how allowing both men and women to apply can benefit the health centre.
3. Give an example of a stereotype that this health centre is helping to break.



3.5 End of unit assessment

3.5.1 Questions for Assessment

A. Knowledge and understanding

1. Define socio-economic development in your own words.
2. List the four main types of work found in most Rwandan communities.
3. Give two examples of activities that hinder socio-economic development.
4. Explain the meaning of gender equality at work.
5. Describe how agriculture contributes to community development.

B. Skills

1. Classify the following activities into types of work:
 - A person teaching in a primary school
 - A carpenter making furniture
 - A vendor selling fruits
 - A farmer growing beans
2. Analyse how manufacturing and trading depend on each other in community development.
3. Identify a harmful activity in your community and explain how it affects the environment.
4. Examine how both men and women can participate in a job that is commonly associated with only one gender (e.g., construction, nursing).

C. Attitude and Values

1. Explain why it is important to value all kinds of work in the community.
2. Describe how you can personally promote gender equality at school or in your community.
3. State one positive behaviour you should show to support environmental conservation.

3.5.2. Project Activity

Community Work Assessment Project

1. Begin by selecting a local community activity, such as a farm, workshop, cooperative, shop, or service provider. Prepare a short report or poster describing the type of work involved and classify it as agriculture, manufacturing, trading, or service provision.
2. Explain how the selected activity benefits both the individuals involved and the community as a whole. Consider contributions such as job creation, production or supply of goods, provision of services, and support to community development.
3. Identify the negative impacts or challenges associated with the activity. These may include environmental issues, misuse of resources, poor waste management, limited funding, or any other challenge affecting community well-being.
4. Propose clear recommendations for strengthening the positive contributions of the activity while reducing or eliminating its negative effects. Present your findings to the class and explain the results of your assessment.

UNIT 4:

THE MARKET

Key Unit competence:

Ability to analyse the impact of domestic and regional markets on businesses and economic development

Learning Objectives

At the end of this unit, you should be able to:



Knowledge and understanding:	Skills	Attitude and values
– Explain the meaning of market, product, demand, and supply – Identify various types of markets – Explain the advantages and disadvantages for each type of market – Describe the concept of economic integration – Give the advantages and disadvantages of economic integration – Identify certain regional trading blocs	– Build the relationship that exists between demand and supply – Organize the process of shifting from a domestic market to a regional market – Examine the effects of economic integration on the economy – Use digital or AI-supported tools to compare market types, explore buyer and seller behaviour and support group discussions and presentations	Show support for shifting from domestic markets to regional markets.

4.0 Introduction

Markets are systems or places where buyers and sellers meet to exchange goods and services. Understanding how markets operate helps learners to know how prices are determined, how goods reach consumers, and how businesses grow. In this unit, learners will study the meaning of market, product, demand, and supply. They will also learn about domestic and regional markets, economic integration, and regional trading blocs such as the East African Community (EAC). This knowledge will help learners understand how markets contribute to business growth and economic development.



Introductory Activity

In the Cyuve Sector of Musanze District, people buy and sell a variety of goods every day. At the local market, farmers bring bananas, beans, and milk. Shopkeepers sell soap, clothes, and cooking oil. A trader recently opened a store selling goods from Uganda and Kenya, such as maize flour and cooking utensils. On busy days, the market is crowded, and prices rise because many buyers want the available products. On quieter days, sellers lower their prices to attract customers. One morning, the local radio announces that Rwanda is strengthening trade with EAC and COMESA countries to make it easier for goods to move across borders.



Figure 4.1: A busy shopping place in a rural area

1. Based on the scenario, what is a market?
2. Identify three products being sold in Cyuve market.
3. What examples of *high demand* can you see in the scenario?
4. Explain why prices might fall when there are fewer buyers in the market.
5. Identify one example of a domestic (local) market and one example of a regional market in the scenario.
6. How does the radio announcement relate to economic integration?

4.1 Meaning of Market, Product, and Supply and Demand



Learning activity 4.1

Discuss and brainstorm what you think the following terms mean based on your everyday experiences in the community: **product**, **demand**, **supply**, and **market**.

4.1.1. A market

In entrepreneurship, we often talk about markets. You also know about markets from buying goods and services for your family. When we study markets in economics, the word market has a specific meaning. A market is an environment in which buyers and sellers come together to exchange goods and services. You will therefore find a market in a shop. However, a market can also be on the Internet, where buyers buy goods online.



Figure 4.2 Online shopping



Figure 4.3 A market

4.1.2 Product

A **product** is anything that a business offers to customers in order to satisfy their needs or wants. It may be a physical item, such as clothes, bread, or mobile phones, or it may be a service like transport, banking, or medical care. A good product meets a customer's needs, provides value for money, and encourages people to buy it again. Products usually have characteristics such as a brand name, packaging, design, and quality level, and they move through different stages of a product life cycle as customer demand changes.



Figure 4.4: Products and Services

4.1.3 Supply and Demand

Demand is the quantity of a product that buyers are willing and able to purchase at a given price over a certain period. In other words, demand indicates the level of interest in a product. For example, if many people in Cyuve market want bananas, the demand for bananas is high. Supply is the quantity of a product that sellers are willing and able to offer for sale at a given price over a certain period. For example, if farmers bring more beans to the market, the supply of beans increases.



APPLICATION ACTIVITY 4.1

1. Explain in your own words the meaning of market, product, demand, and supply.
2. Using an AI tool (these may be ChatGpt, Gemini, Copilot, etc), research:
 - Examples of products with high demand and low supply.
 - Examples of products with high supply and low demand.
 - Include the observed price trends for these products.
3. Based on your research, answer:
 - Why the relationship between price and quantity demanded is inverse.
 - Why the relationship between price and quantity supplied is direct.

4.2 Relationship between Demand and Supply



Learning activity 4.2

Review the information from Cyuve market scenario and answer the following:

1. Identify a product in the scenario that shows high demand and low supply. How does this affect its price?
2. Identify a product that has high supply but low demand. What happens to its price?
3. Explain how the balance between demand and supply helps sellers and buyers make decisions.
4. Demonstrate a simple diagram showing the relationship between demand, supply, and price.

The relationship between demand and supply determines the price of a product in the market. When many people want a product but there is only a small quantity available, which means high demand and low supply, the price of that product rises. On the other hand, when few people want a product but there is a large quantity available, which is low demand and high supply, the price falls. If the quantity of a product that people want matches the amount available in the market, meaning demand and supply are balanced, the price remains stable.

Understanding this relationship helps businesses make important decisions. For example, if a shopkeeper notices that the demand for maize flour is increasing, they may decide to stock more to meet customer needs. On the other hand, if a product is oversupplied but demand is low, businesses may lower prices or offer promotions to sell their goods.

Let us say that you want to buy a product. As a consumer, you want to pay as low a price as possible. The producer, on the other hand, wants the price to be as high as possible. So which price will you end up paying for the product? In a market, sellers and buyers exchange products. How many they exchange depends on how many products the consumer demands and how many products the producer wants to sell. When the demand is equal to the supply, we find the market price. We say that the market has reached equilibrium. When you add the price and quantity from the example onto one table, you can see that as demand increases, supply decreases.

Price (FRW)	Quantity Supplied (Kg)	Quantity Demanded (Kg)
100	1	5
120	2	4
140	3	3
160	4	2
180	5	1

Let's draw a supply curve and a demand curve on the same set of axes. Where the two lines meet, you find the market price.

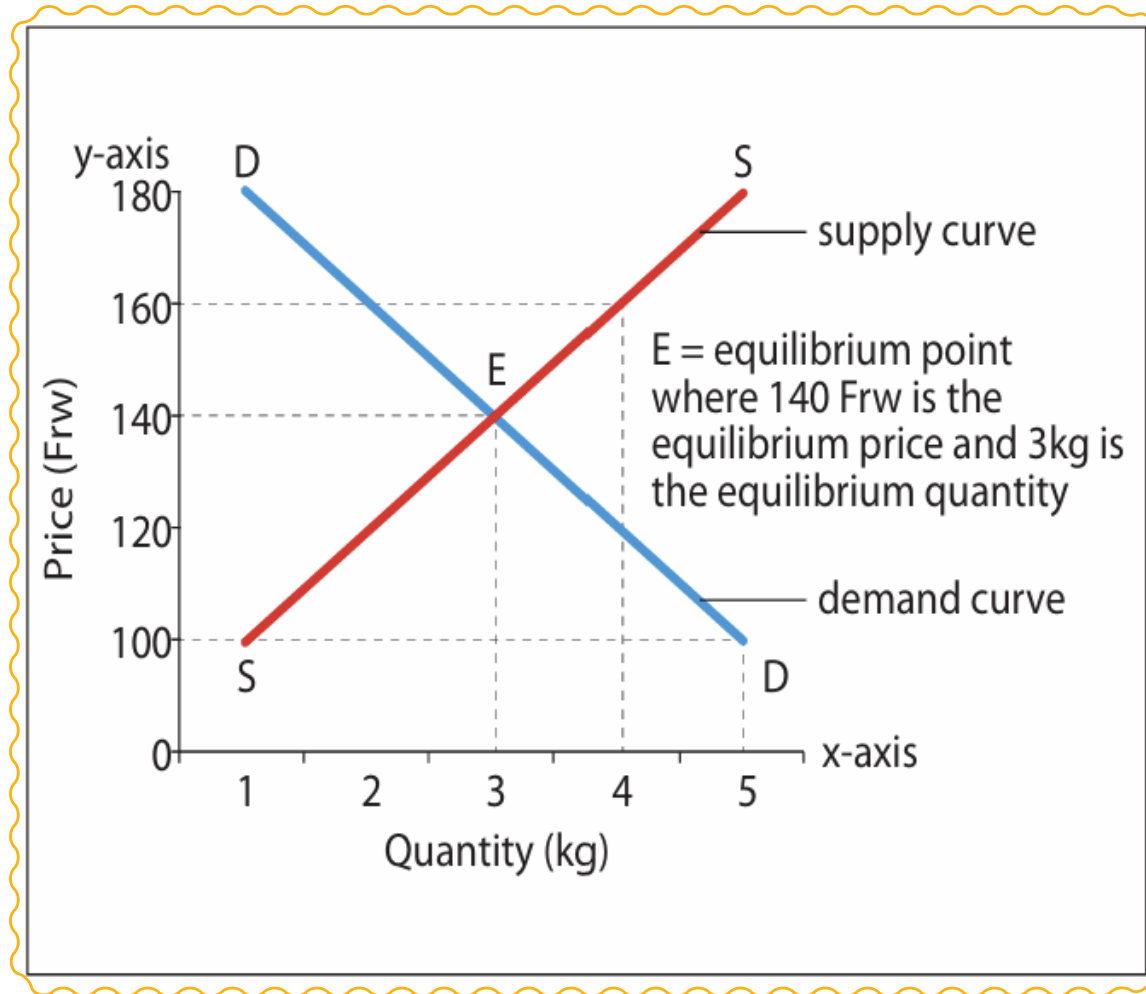


Figure 4.5: Demand (D) and supply (S) curve and how market equilibrium is reached.

The market equilibrium price is 140 FRW. At this price, the quantity supplied and demanded are equal to each other (3 units).



APPLICATION ACTIVITY 4.2

Imagine that pop star Knowless Butera releases a new CD with her latest songs. She wants to set a price for her CD and asks you for advice.

1. Explain the relationship that will exist between the demand and supply of her CD's.
2. Next, you visit music stores in Kigali. Their managers tell you that they will order CDs depending on the costs given in the table alongside. Explain why the relationship between price and quantity is inverse.
3. The studio that produces pop music gives you the values in the table alongside. These values show how many CDs they will produce and the quantities demanded at different prices. Draw a graph that shows the relationship between demand and supply.

Price (FRW)	Quantity Demanded	Quantity Supplied
10,000	1	5
8,000	2	4
6,000	3	3
4,000	4	2
2,000	5	1

Table 4.1: Price and quantity demanded

- Determine the market price and explain to Knowless Butera how you got to this price.

4.3 Types of Markets



Learning activity 4.3

- Research the different types of markets (domestic, regional, international).
- For each market type:
 - Explain its meaning and main characteristics.
 - Give examples from your community, Rwanda, or the region.
 - List the advantages and disadvantages.
- Use an AI tool to:
 - Generate additional examples of markets in Rwanda or the region.
 - Suggest possible challenges businesses might face in each type of market.
 - Create a table summarising the key points for easy presentation.
- Prepare a short class presentation using your research and AI outputs. Include:
 - How the market benefits buyers and sellers.
 - Which market type is best for small businesses, and why?
 - Potential challenges for businesses in each market type.

4.3.1.Domestic Markets

A domestic market is a market that operates within the borders of a specific country. Both the sellers and the customers come from the same country. In Rwanda, people buy and sell goods and services in their local communities. In rural areas, trade often takes place in markets and small shops. In cities, products are made in factories and sold in various outlets, including supermarkets. Within a domestic market, trade can be divided into **wholesale** and **retail** trade. Wholesale trade happens when shops buy goods from manufacturers in large quantities. The shops then sell these goods in smaller amounts to individual customers, which is called retail trade.

ADVANTAGES OF THE DOMESTIC MARKET

A business owner who provides goods and services to a domestic market:

- Understands the local culture and language when communicating with customers;
- Knows customers' tastes and preferences;
- Knows if the local economy is growing;
- Does not pay import costs and can therefore provide inexpensive goods and services to customers.

Investigate goods in your local store. How many of these are made in your local community? Where do the other products come from?

Advantages of making goods in your local community and selling them at your local store are:

- The money goes to the local business, which helps the local market to grow;
- It creates employment because local businesses employ people from the local community;
- The products do not need to be transported for long distances and pollution is therefore reduced;
- Food grown locally is fresher than food that has been transported from somewhere else.

Disadvantages of the domestic market

There are also disadvantages for businesses that provide goods and services to the domestic market.

- A local market is small, so it can be difficult for the business to expand;
- If the local economy is not going well, customers may not buy many products;
- Businesses that import products or services may be able to offer these products cheaper.

The disadvantages to consumers are:

- Locally made goods can be more expensive than mass-produced goods;
- Local businesses may not have everything you may need or want to buy because they may not be able to produce or grow them in Rwanda.

4.3.2 Regional markets

Regional markets extend beyond one country and involve trade among several neighboring countries. Examples in East Africa include the **East African Community (EAC)** and **COMESA**, where goods and services can move more freely across borders.

Advantages	Disadvantages
The market is larger as there are many more people than in a domestic market.	There is more competition in a regional market than in a domestic market.
When a business grows it benefits the country.	If a business from another country grows, then it does not provide jobs in Rwanda.
A Rwandan business that exports products earns foreign currency (money from another country).	When a business trades in a regional market, goods must be transported to other countries.
Rwanda may enter into agreements with governments from other countries to make trade easier.	There may be tariffs and taxes on goods exported to other countries.
Consumers often have a wider variety of goods to choose from.	Sometimes, low quality, cheap goods are imported.

Table 4.3: Advantages and disadvantages of regional markets



APPLICATION ACTIVITY 4.3

Read the case study and answer the questions that follow." Home-grown Rwandan success" Urwibutso enterprise commonly known as Nyirangarama is a business in Rulindo district. It offers customers a wide variety of products at low prices. Customers can buy from the shop or on the online website. Owner, Sina Gérard, employs more than 2,000 people. The business had humble beginnings, but today it sells fruits, flowers, vegetables and meat to both the local market and abroad. Source: <https://sinarwanda.rw/>

1. Does Urwibutso enterprise sell to the local market or regional market? Explain your answer.
2. List the advantages of selling products to the local market.
3. Which challenges do you think that Sina Gérard needs to overcome to sell fresh flowers to other countries?

4.4 Economic integration



Learning activity 4.4

Discuss the concept of economic integration. Your discussion should cover the following points:

1. The meaning of economic integration.
2. The advantages and disadvantages of economic integration.
3. Examples of regional organisations to which Rwanda belongs

After your discussion, prepare a short presentation to share your ideas with the class.

Debate Activity:

How does economic integration benefit consumers in Rwanda?

4.4.1. Meaning of Economic Integration

Economic integration is the process by which countries come together to form larger markets, allowing goods, services, labor, and capital to move more freely across borders. It encourages trade, economic growth, and cooperation between countries, making it easier for businesses to expand beyond their domestic markets.

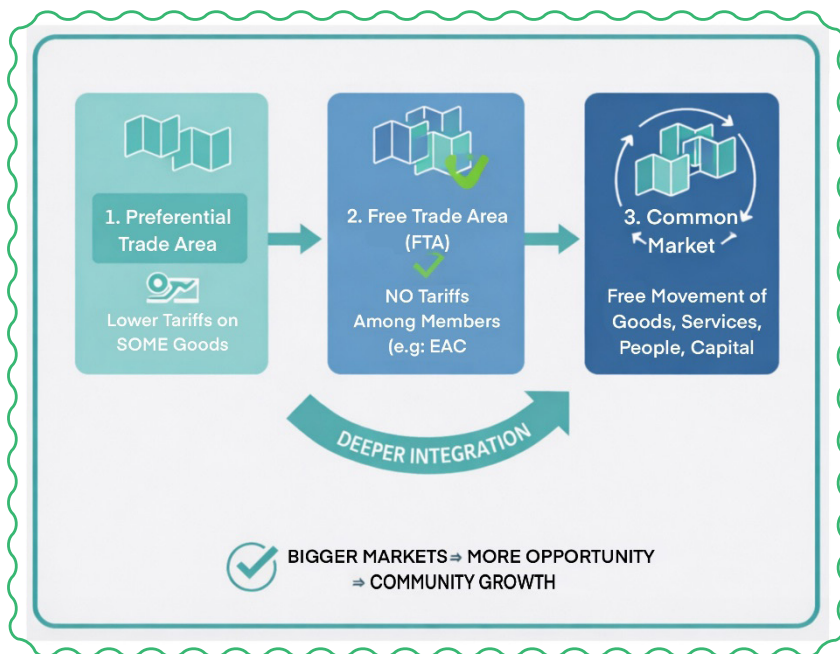
4.4.2 Shifting from a Domestic Market to a Regional Market

A business moves from a domestic market to a regional market when it begins selling products or services beyond its own country to neighbouring countries. For example, a Rwandan business that sells goods in Uganda or Kenya is operating in a regional market. Expanding to a regional market requires businesses to understand new regulations, different customer preferences, and market conditions in other countries. This shift also involves planning for transportation, pricing, and competition from foreign companies. By successfully entering a regional market, businesses can reach more customers, increase sales, and grow their operations.

4.4.3 Advantages and Disadvantages of Economic Integration

Some advantages of economic integration are:

- Access to a larger customer base, increasing sales and profits.
- Encourages cooperation between countries and improves trade relations.
- Provides access to a wider variety of goods and services.
- Reduces trade barriers, such as taxes and tariffs, making trade cheaper and more efficient.



Disadvantages:

- Businesses may face competition from foreign companies with more resources or advanced technology.
- Differences in regulations, standards, and taxes between countries can make trade more complex.
- Transportation costs may be higher when selling goods across borders.

4.4.4 Some Regional Trading Blocs

Sometimes a government enters into agreements with other governments. For example, governments in a region can form a regional trade bloc. A trade bloc is an agreement that involves the removal of import tariffs. This makes it easier for the countries to trade with each other. Rwanda belongs to different regional trade blocs.

The East African Community (EAC)

The East African Community (EAC) is a large regional trade organisation formed by six countries in Eastern Africa. The member countries are Burundi, the Democratic Republic of Congo, Kenya, Rwanda, Somalia, South Sudan, Uganda, and Tanzania. The headquarters are in Arusha, Tanzania. These countries have agreed to duty-free trade and to add a common tariff to imports from other countries. A trade organisation has many advantages for Rwanda. For example, as a landlocked country, Rwanda needs access to a port (town with a harbour) so that it can export products and import products from abroad. With a trade agreement, it is easy to make use of East Africa's largest port in Mombasa, Kenya. One of the goals of the EAC is to use a common currency in the region.

Common Market for Eastern and Southern Africa (COMESA)

The Common Market for Eastern and Southern Africa (COMESA) is a free-trade area for the 20 member states. It is Africa's largest economic organisation with members from Libya in the north to Swaziland in the south. COMESA's members are: Burundi, Comoros, Democratic Republic of Congo, Djibouti, Egypt, Eritrea, Ethiopia, Kenya, Libya, Madagascar, Malawi, Mauritius, Rwanda, Seychelles, Sudan, Swaziland, Uganda, Zambia and Zimbabwe. Rwanda joined the bloc in 2004.

Economic Community of the Great Lakes Countries (CEPGL)

The Economic Community of the Great Lakes Countries is a regional organisation. The abbreviation CEPGL comes from its French name: *Communauté Économique des Pays des Grand Lacs*. It was founded in 1976 and has its headquarters in Rwanda. The organisation has three members: Burundi, Democratic Republic of the Congo and Rwanda. Its purpose is to promote trade and economic cooperation in the region. The CEPGL controls several institutions including the Bank of Development of the States of the Great Lakes (BDEGL) and the Economic Community of the Great Lakes Countries Organization for Energy (ECGLC).



APPLICATION ACTIVITY 4.4

In groups, use your textbook, class notes, and approved digital tools (such as AI platforms or online resources) to complete the tasks below:

1. Explain the meaning of economic integration and mention one regional organisation of which Rwanda is a member.
2. Identify and explain one advantage and one disadvantage of economic integration for Rwanda.
3. Describe how shifting from a domestic market to a regional market can affect Rwandan businesses.
4. Debate Activity: "Economic integration plays a key role in Rwanda's socio-economic development." One group supports the statement. Another group challenges it. Use examples from Rwanda to support your arguments.



4.5 End of unit assessment

4.5.1 Questions for Assessment

A. Knowledge and understanding

1. Define the term market and explain its importance in economic activities.
2. Distinguish between a local market and a regional market.
3. State two factors that influence the price of goods in a market.
4. Explain the meaning of demand in relation to consumers.
5. Identify one benefit of economic integration to consumers in Rwanda.

B. Skills

1. Using an example from your community, explain how demand and supply influence prices.
2. Classify the following activities according to the type of market involved:
 - A farmer selling beans in a village market
 - A trader exporting coffee to neighbouring countries
 - A shop selling imported electronic goods
3. Analyse how improved transport and communication systems support market development.
4. Interpret how changes in consumer preferences can affect producers' decisions.

C. Attitude and Values

1. Explain why honesty and fairness are important in market transactions.
2. Describe how responsible consumer behaviour can support local producers.
3. State one way learners can promote fair trade practices in their community.

4.5.2 Project Activity-Project

Mini Project: Understanding Markets and Regional Trade

Part A: Classroom Mini-Market Experiment

1. As a class, set up a simple mini-market in the classroom using items such as pens, fruits, or small classroom materials.
2. Choose a group to act as sellers and another group to act as buyers.
3. The sellers set different prices for the items. After each price change, record how many buyers are willing to purchase at that price.
4. Observe how demand changes when prices increase or decrease.
5. Discuss how sellers (supply) respond to the number of buyers (demand).
6. Draw a simple demand and supply graph together as a class to show how price affects the quantity bought and sold.

Part B: Reflection and Advocacy Poster

1. Each student creates a poster encouraging local businesses to explore opportunities in regional markets such as the EAC or COMESA.
2. The poster should briefly highlight:
 - The benefits of selling goods in regional markets
 - Opportunities for business growth
 - Why economic cooperation is important
3. Students display their posters in class and share what they learned about regional trade and business expansion.

UNIT 5:

TAXES IN RWANDA

Key Unit competence: Ability to explain and justify the role of taxes in the economic and social development of Rwanda

Learning Objectives

At the end of this unit, you should be able to:



Knowledge and understanding:	Skills	Attitude and values
- Explain the meaning of taxation, taxes, tax avoidance and tax evasion; - Explain the importance of paying taxes - Identify the main sources of tax in Rwanda - Identify the rights and obligations of taxpayers - Distinguish between the different types of taxes paid in Rwanda - Identify the conditions, documents, advantages and sanctions of subscribing to the tax system.	- Assess the various types of taxes - Correctly fill out the documents required to subscribe to a tax system - Calculate different types of taxes	- Appreciate the role of taxes in the economy - Advocate for the payment of taxes in the community - Show concern and responsibility regarding non-payment of taxes

5.0 Introduction

Taxes play a key role in the economic and social development of Rwanda. Individuals and businesses contribute to national development by paying different types of taxes. These taxes enable the government to provide essential public services, including education, healthcare, roads, and security. In this unit, learners will study the concept of taxation and taxes, distinguish between tax avoidance and tax evasion, identify various taxes paid in Rwanda, and learn how to calculate simple taxes, such as VAT and PAYE. This knowledge will help learners become responsible citizens and entrepreneurs.



Introductory Activity

In Rwanda, the government is responsible for providing a wide range of public services.

1. Identify at least three services provided by the government in your community.
2. Discuss how the government gets money to provide these services.
3. In your own words, explain what you understand by the terms tax and taxation.



Figure 5.1: Taxes help Rwanda's economy grow.

5.1 Meaning and Importance of Taxes



Learning activity 5.1

Mr Karimunda is an entrepreneur that sells shoes, bags and belts. He does not want to pay a lot of tax. He decides to add expenses to his business so that he can pay less tax. He:

- Buys a new car for his son and states that it is a business expense. He uses the car once a week to drive to a business meeting.
- Builds an extra room in his personal residence and places office equipment in the room. He says that building the room is a business expense. However, the room is mostly used by his son as a study room. Read the scenario and answer the questions.

1. Do you agree with Mr Karimunda's suggestions for reducing his tax bill? Explain your answer.
2. Explain the difference between tax avoidance and tax evasion.
3. Do you think Mr Karimunda is avoiding or evading tax? Explain your answer.

5.1.1. Meaning of Taxation and Tax

- **Taxation** is the process through which the government collects money from individuals and businesses to finance public services and national development. Taxes help the government build roads, schools, hospitals, and provide security.
- **A tax** is a compulsory payment made by individuals or businesses to the government, as mandated by law. **Tax avoidance** involves using legal methods allowed by law to reduce tax payable, such as claiming approved deductions. **Tax evasion**, on the other hand, is illegal and involves deliberately hiding income or providing false information to avoid paying tax. Tax evasion is punishable by law.
- Tax avoidance involves using legal methods allowed by law to reduce tax payable, such as claiming approved deductions. Tax evasion, on the other hand, is illegal and involves deliberately hiding income or providing false information to avoid paying tax. Tax evasion is punishable by law



Figure 5.2: Legal consequences of tax evasion

5.1.2 Importance of Paying Taxes

Paying taxes enables the government of Rwanda to provide essential public services such as education, healthcare, clean water, security, and infrastructure. Taxes help the government pay civil servants such as teachers, doctors, nurses, police officers, and judges.

Taxes also support infrastructure development, including roads, energy, water supply, and public buildings. Through tax revenue, the government funds social programs aimed at reducing poverty and improving living standards, such as supporting vulnerable families. Paying taxes therefore promotes equality and national development.

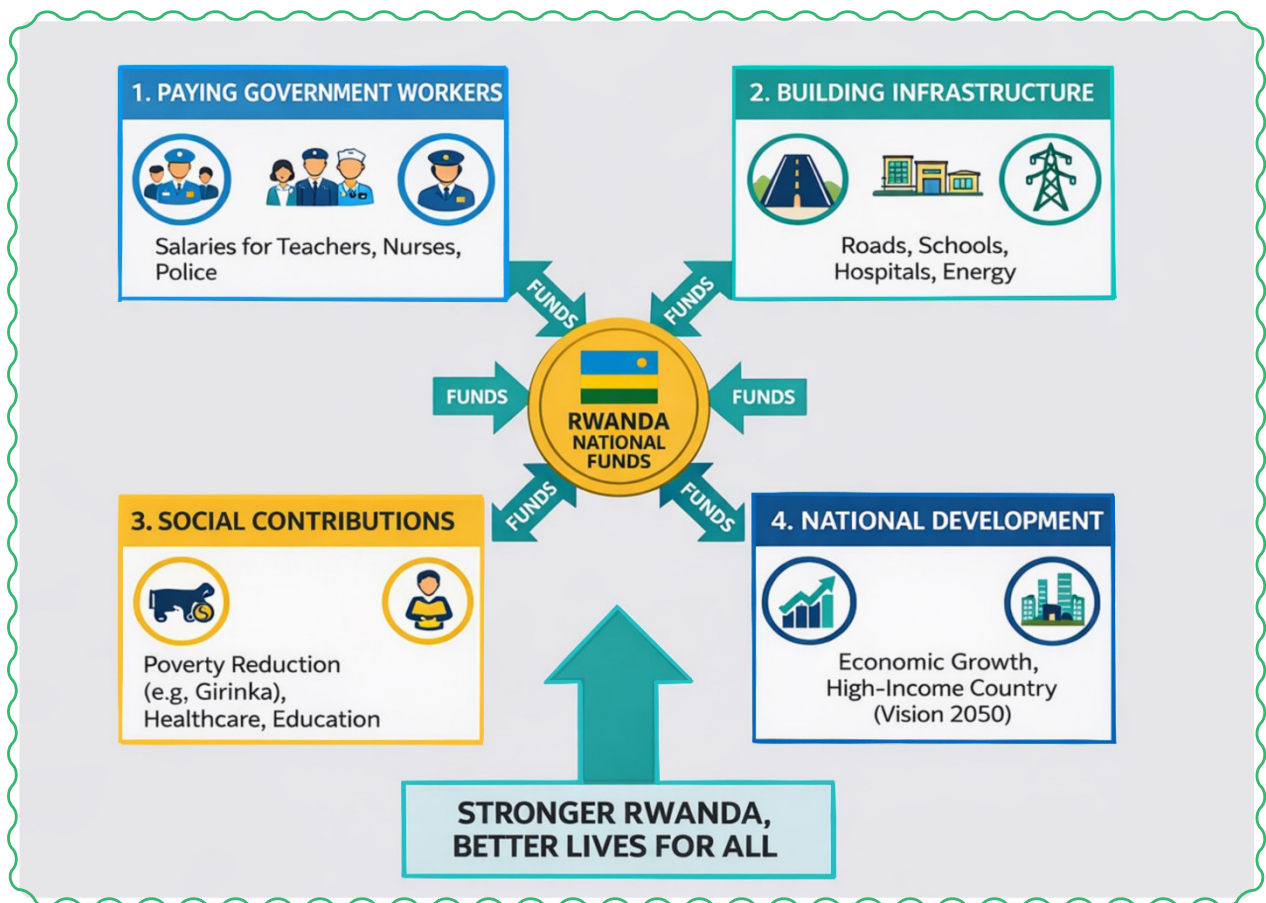


Figure 5.3: Importance of tax payment



APPLICATION ACTIVITY 5.1

1. Explain the following terms in your own words:
 - a. Taxation
 - b. Tax
 - c. Tax avoidance
 - d. Tax evasion
2. Identify three public services in your community funded by taxes and explain their benefits.
3. Explain why it is important for individuals and businesses to pay taxes regularly.
4. Identify whether the following situations show tax avoidance or tax evasion. Give reasons:
 - a. A business donates to a registered charity to reduce taxable income.
 - b. A shop owner keeps two sets of sales records.

5.2 Sources of Taxes in Rwanda



Learning activity 5.2

Kanamugire Traders Ltd. imports school bags from Kenya and sells them in Kigali. When the goods reach the border, customs officers check them and charge import taxes. The business sells the bags with VAT, pays salaries to its workers, and owns a delivery van used for deliveries. At the end of every month, the accountant prepares the tax declarations for RRA.

1. Which activities of Kanamugire Traders Ltd. can lead to paying taxes?
2. Which types of taxes may apply in this scenario?
3. Why is it important for the business to pay these taxes?

5.2.1 Personal Income

Personal income tax is the tax paid by individuals on the money they earn from salaries, wages, commissions, or bonuses. In Rwanda, this tax is collected through the Pay As You Earn (PAYE) system. Employers deduct the tax from employees' salaries every month and submit it to the Rwanda Revenue Authority (RRA).

From	To	Tax rate
0	60,000	0%
60,001	100,000	10%
100,001	200,000	20%
200,001	And greater than	30%

Table 5.1 Monthly taxable income (in FRW)

The income from a casual labourer is subject to tax on the special rate of fifteen percent (15%). However, in computing casual labourer's tax, an income not exceeding sixty thousand (FRW 60,000) per month is rated at zero percent (0%).

The following working is suggested for the income tax calculations for an employee based on monthly taxable employment income of FRW 870,000.

FRW		%		FRW
60,000	*	0%		0
40,000	*	10%		4,000
100,000	*	20		20,000
670,000	*	30%	Balancing figure	201,000
870,000				

Total income tax payable on employment income				225,000
---	--	--	--	---------

Table 5.2 Calculation of income tax on employment income

5.2.2. Corporate income tax

Businesses pay tax on their profits, which is known as Corporate Income Tax (CIT) or company tax. In Rwanda, most businesses pay 28% of their taxable profit. Businesses with an annual turnover of more than FRW 20,000,000 must follow the real regime, where they calculate their total income, subtract allowable expenses, and pay 28% tax on the remaining profit. To encourage business growth, the government offers tax incentives. For example, businesses that export goods and services may receive discounts on their corporate tax bills. This helps businesses expand, compete regionally, and contribute to the country's economic development. Example: A company earns FRW 50,000,000 in revenue and spends FRW 20,000,000 on business expenses. Taxable profit = $50,000,000 - 20,000,000 = \text{FRW } 30,000,000$; Corporate tax (28%) = $30,000,000 \times 28\% = \text{FRW } 8,400,000$.

5.2.3. Personal and business property tax

An individual or a business that owns property must pay property tax. This tax is collected by Rwanda Revenue Authority on behalf of the district. The amount of tax payable depends on the value of the property. Property Tax is a tax levied on the market value of a building and the surface of a plot of land. The land and buildings are referred to as the 'Immovable Property'. In order to facilitate taxpayers, the market value of the building only needs to be assessed every five years, unless major changes in the building and structures occur.

In accordance with Article 16 of Law N° 048/2023 of 05/09/2023, the tax rate on immovable property is determined as follows:

- Zero (FRW 0) to FRW 80 per square meter of the surface of land;
- 0.5% of the market value of both the building and related plot of land for residential use;
- 0.3% of the market value of both the building and related plot of land for commercial use;
- 0.1% of the market value of both the building and related plot of land for industrial use, building and plot belonging to micro-enterprises and small business;

However, special consideration is given to the following:

- A plot and a building for residential use of three floors are taxed at the rate of 0.25% of their market value;

- b. A plot and a building for residential use with more than three floors are taxed at the rate of 0.1% of their market value;
- c. In determining the taxable value of a commercial or industrial building, machinery and other equipment attached to the building are not considered.

5.2.4. Tax on Business sales

In Rwanda, businesses pay taxes on goods and services mainly through Value Added Tax (VAT) at a standard rate of 18%. Only businesses with annual sales above FRW 20,000,000 or quarterly sales above FRW 5,000,000 must register for VAT, although smaller businesses may register voluntarily. VAT-registered businesses are required to use an Electronic Billing Machine (EBM) to issue certified invoices for every sale, helping the Rwanda Revenue Authority track transactions and reduce tax evasion. Other taxes on sales include consumption tax and customs duties on imports. Collecting VAT through EBM ensures the government can fund essential services and infrastructure such as schools, hospitals, roads, electricity, and public sector salaries, while some goods and services may be exempt or zero-rated. Basic non-processed food items and some equipment are exempt from VAT. This makes it easier for poor people to afford buying necessary items.

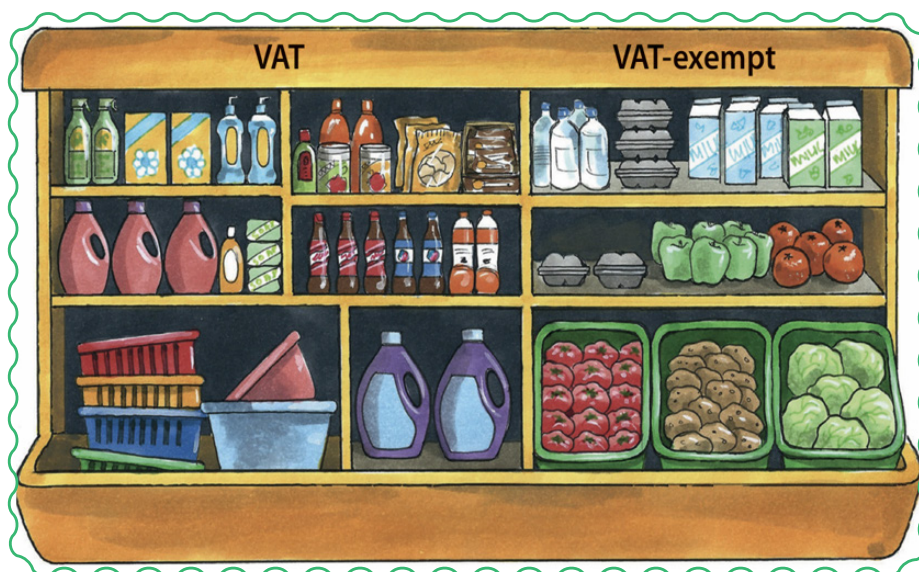


Figure 5.4: Product Classification for VAT Purposes

Example:

If a shop sells a shirt for FRW 10,000, the VAT is calculated as: $\text{VAT} = 10,000 \times 18\% = \text{FRW } 1,800$. Total price for the customer = $10,000 + 1,800 = \text{FRW } 11,800$.



APPLICATION ACTIVITY 5.2

Using the scenario of Kanamugire Traders Ltd., apply your knowledge of taxes in Rwanda to answer the following:

1. Identify the business activities of Kanamugire Traders Ltd. that generate tax obligations and explain the type of tax applicable to each.
2. Calculate the VAT for a school bag sold at FRW 20,000, and the total price the customer pays.
3. Calculate the Corporate Income Tax (CIT) if the business earns FRW 50,000,000 in revenue and has FRW 20,000,000 in allowable expenses, and also calculate the PAYE for an employee earning FRW 1,140,000 per month.
4. Explain how paying these taxes (VAT, corporate tax, and PAYE) helps the business contribute to national development, and discuss any changes if the business expands to a regional market.

5.3 Rights and Obligations of Taxpayers



Learning activity 5.3

In groups, research and discuss the rights and obligations of taxpayers in Rwanda. Also, find out the conditions, required documents, advantages, and penalties for subscribing failing to subscribe to the tax system. Prepare a short presentation to share your findings with the class.

5.3.1. Rights of Taxpayers

According to the Rwandan tax system, taxpayers have several rights to ensure fair treatment and transparency:

1. Right to be informed, assisted, and heard: Taxpayers are entitled to up-to-date information about the tax system, how taxes are assessed, and guidance on compliance.
2. Right of appeal: Taxpayers can appeal decisions of the Rwanda Revenue Authority (RRA) that directly affect them, whether related to the application of law or administrative rulings.
3. Right to pay no more than the correct amount: Taxpayers must pay only the amount required by law, taking into account their income and personal circumstances.

4. Right to confidentiality and secrecy: All taxpayer information held by RRA is confidential and may only be used for purposes specified by law. Unauthorized use of this information by officials carries heavy penalties.
5. Additional rights: These include the right to legal representation in tax matters and the right to a tax refund if overpayment occurs.

5.3.2. Obligation of Taxpayers

Taxpayers in Rwanda must fulfil several legal obligations to ensure proper tax compliance:

1. Relevant Legislation: Taxpayer obligations are governed mainly by Law No. 020/2023 of 31/03/2023 on Tax Procedures.
2. Registration of a business: Any individual or company must register with the RRA within seven days of starting a business or earning taxable income. Upon registration, a Tax Identification Number (TIN) is issued, which must be used in all communications and tax declarations.
3. Record-keeping: Taxpayers must maintain records to support their tax declarations. All businesses (except individuals with turnover below FRW 1,200,000 per tax period) must keep records of tax liability calculations, withholding taxes, daily income and expenses, purchases and sales, and closing trading stock. Companies must maintain double-entry bookkeeping and retain records for ten years.
4. Tax Declarations: Taxpayers must submit accurate tax declarations by the deadlines set by law, usually by 31 March following the end of the tax period. Business declarations include full accounts, balance sheets, and profit/loss statements. Individuals whose only income is employment subject to withholding tax may be exempt.
5. General obligations: Taxpayers must register with RRA, complete and sign returns accurately, and provide all necessary supporting documents when requested.



APPLICATION ACTIVITY 5.3

Imagine you have just started a small business or are employed in a company. Use the information you have learned about taxpayers' rights and obligations to answer the following:

1. List three rights you have as a taxpayer and explain how each right protects you.
2. List three obligations you must fulfill as a taxpayer and explain why each is important.
3. Your business earns FRW 1,500,000 in one month. Explain what records you would keep to comply with RRA requirements.
4. If RRA makes a decision you disagree with, describe the process you could follow to exercise your right of appeal.

5.4 Different types of taxes



Learning activity 5.4

A small shop owner named Musanabera buys sugar, soap, and soft drinks from a wholesaler. She sells these goods in her village. Musanabera has one employee whom she pays a monthly salary. She also owns the small building where her shop operates. Using the story above, answer the following questions:

1. Which taxes may apply to Musanabera business?
2. Who collects the taxes, Musanabera or the government and how?
3. Calculate the VAT Musanabera must charge if she sells sugar worth FRW 5,000 (VAT rate 18%).
4. Musanabera pays her employee FRW 120,000 per month. Using the Rwanda PAYE table, calculate the income tax deducted from the employee's salary.

5.4.1 Direct Taxes

A direct tax is a tax that is paid directly by an individual or an organisation. For individuals, income earned from salaries, wages, or other sources is taxed as personal income tax (PAYE). Organisations pay corporate income tax on the profits they make. If you rent out property, machinery, land, or livestock, the rental income is taxed as rental tax, though allowable expenses like loan interest can be deducted. Property tax is charged on the value of land or buildings. In some countries, heirs may pay inheritance tax on money or assets received from a deceased person, which is also a direct tax.

5.4.2 Indirect Taxes

Indirect taxes are added to the price of goods and services and collected by businesses for the government. Value Added Tax (VAT) is the main indirect tax in Rwanda, applied at 18% for most goods. Businesses with annual sales above FRW 20 million must register for VAT, while some goods are exempt or zero-rated, meaning no VAT is charged. Consumption tax (or excise tax) is added to luxury items like alcohol, soft drinks, fuel, vehicles, cigarettes, and telephone services. Its purpose is to raise revenue and sometimes reduce the use of certain products. Customs duties are paid when products are imported into Rwanda, including VAT and consumption tax, and are collected by the importer at the border.



APPLICATION ACTIVITY 5.4

1. Identify the type of tax: A person pays tax on the salary earned from a job. Is this a direct or indirect tax? Explain why.
2. A shop sells a drink for FRW 1,000 before tax. VAT is 18%. Calculate the total price the customer pays.
3. A landlord earns FRW 300,000 per month from renting a house. Explain whether rental income tax is direct or indirect, and why.

4. A business imports cooking oil into Rwanda and pays customs duty and consumption tax at the border. Explain whether these taxes are direct or indirect.

5.5 Registering to the tax system



Learning activity 5.5

In small groups, discuss the steps a new business in Rwanda must follow from the moment it is created until it becomes a registered taxpayer. Learners should pay special attention to the difference between business registration (done by RDB) and taxpayer registration (done by RRA).

5.5.1. Conditions for Registration

Filling in a registration form

When you have filled in the registration form, you receive a Tax Identification Number (TIN). Figure 5.1 shows an example of a VAT registration form. You need to supply all the information to register a business as a VAT vendor. Figure 5.2 shows the notice of registration that the Rwanda Revenue Authority supplies when you have filled in all the correct forms.

VAT REGISTRATION SUPPLEMENTARY DOCUMENTATION FORM

To be completed for voluntary and compulsory registration

- TIN niba wiyandikishije ku yindi misoro/ TIN (If already registered for other taxes:)
- Izina ry'umushyamba/ Name of taxpayer
- Izina ry'ubucuruzi/ Type of business
- Ubwoko bw'ubucuruzi/ Type of business activity
- Tanga impamvu ushaka kwiandikisha muri VAT/ Reasons for VAT registration
- Igihe watangiriyeho ubucuruzi/ Date the business was started
- Impamvu zo kutiyandikisha kuri VAT ku gihe/ Reasons for not registering for VAT on time

RWANDA REVENUE AUTHORITY
OFFICE RWANDAIS DES RECETTES

NOTICE OF REGISTRATION
NOTICE D'ENREGISTREMENT
IMENYESHWA RYO KWIYANDIKISHA

Names: **LINK LTD**

Business Activity: **OTHER SERVICE ACTIVITIES**

Is registered for tax purposes with
est enregistré(e) pour fin fiscale sous le
Yiyandikishije ku mpamvu z'umusoro

Taxpayer's Identification Number
Numéro d'identification du Contribuable
I nomero itanga umushyamba

TIN NIF **XXX**

Issuing Date: 25-10-2016
Date d'attribution: 25-10-2016
Itariki itangirisho: 25-10-2016

Taxpayer Centre: KIGALI IRD SMALL
Centre fiscal: KIGALI IRI
Iburi by'umusoro: KIGALI IABA

Group Leader:

Document ID: 5553152

Figure 5.5 VAT registration form

Figure 5.6 A notice of registration from RRA

Legal form of a business

Examples:

A business can have many legal forms. Below are a few examples:

- Sole proprietorship – this business is owned and managed by one person, the owner.
- Partnership – this business is owned and managed by two or more partners.
- Company – some companies are owned by a few people who hold shares (shareholders) in the company. Other companies sell their shares to the public on a stock exchange. These are public companies.

Some organisations are called non-profit. This type of organisation has a specific purpose other than making a profit. This purpose can be a social cause, such as caring for the elderly. Non-profit organisations do not pay income tax. When you register your business with the Rwanda Revenue Authority, you need to ensure that you register the correct form of business.

Types of taxes payable

When you pay tax, you will need to state which type of tax you are paying. For example: Corporate tax, Value Added Tax; and Consumption tax

5.5.2. Documents Required for Taxation

In Rwanda, a business is first registered with the Rwanda Development Board (RDB), which issues the Certificate of Business Registration and automatically provides the Tax Identification Number (TIN). This certificate must be displayed at the business premises. Although the Rwanda Revenue Authority (RRA) does not register businesses, it registers taxpayers, meaning that once a business is created through RDB, the owner must complete the tax registration process with RRA and declare the taxes the business will pay.

To complete this process, the business owner needs several documents, including the certificate of business registration from RDB, the owner's identification documents (such as a national ID or passport), and any documents showing the business activity and the types of taxes it must declare (for example, VAT, PAYE, or corporate tax). These documents help RRA verify the identity of the business and ensure that it is correctly registered for tax purposes



ORG
Office of the Registrar General

Date of issuance: **22/08/2016** Company code:

CERTIFICATE OF DOMESTIC COMPANY REGISTRATION

(Article 16 of law No 07/2009 of 27/04/2009 relating to companies)

Registratin date: **27/01/2016**

Company Name: **ABC LTD**

Category: **Private**

Type: **Limited by shares**

Registered Office Address:

Country: **RWANDA**

Province: **Umujyi wa Kigali**

District: **Nyarugenge**

Sector: **Nyarugenge**

Phone number: **123 456**

Managing director:

Name: **ALI HAMED**

ID document/number: Passport no.: **RWANDA**

Business activities:

No.	Code	Description
1.	S9609	Other personal service activities n.e.c.
2.	C3100	Manufacture of furniture
3.	G4719	Other retail sale in non-specialized stores
4.	G4610	Wholesale on a fee or contract basis



Registrar General

Figure 5.7 Certificate of registration from the RDB

5.5.3. Advantages, Sanctions and Penalties

Advantages of registering with the tax system

There are many good reasons for being part of a tax system.

- When you apply for small business loans, you need to prove that you own a business. Lenders and investors will ask to see your business registration before approving a loan. You also need to show your business registration to apply for a credit card.
- Your customers will also feel more confident about buying from a legal business than from one that is not registered.

- Many export businesses receive tax discounts from the government. This is done to encourage the growth of Rwanda's export sector.
- When a business subscribes to the tax system, the business also protects its employees. The business deducts funds for a national pension scheme. This money is used to pay pensions to people that have retired.
- Paying taxes help the government to build and fund different public activities such as building and maintaining roads, schools and hospitals.
- When you become part of the tax system, you are entitled to a tax certificate. This allows you to be an official operator in a business sector

Sanctions and penalties

It is a legal requirement to pay tax. If a taxpayer does not pay tax or pays the tax late, then the RRA can impose sanctions or penalties. A taxpayer must pay a penalty if he or she:

- does not file a tax declaration on time
- withholds tax
- does not co-operate with a tax audit (official inspection)
- does not register the business.

If a taxpayer repeats the same violation, then the fine is increased.

Closure of a business

If a business owner chooses to close down a business, he or she must apply for a cessation (ending) of trading activities at the Rwanda Development Board (RDB). If a business has not made any money and is insolvent (cannot pay debts owed), then it must apply for insolvency proceedings in a commercial court.

Cancellation of the registration certificate

The Rwanda Development Board will issue the cancellation certificate when the business stops operating and has paid all taxes owed.



APPLICATION ACTIVITY 5.3

Gatangaza has just opened a small tailoring shop in Kigali. She has created her business through the Rwanda Development Board (RDB). She now wants to operate legally and meet all tax requirements.

1. Explain why Gatangaza must register with the Rwanda Revenue Authority (RRA) even after registering the business with RDB.
2. Describe what Gatangaza receives after registering as a taxpayer.
3. State what might happen if she starts operating without completing RRA taxpayer registration.



5.6 End of unit assessment

5.6.1 Questions for Assessment

A. Knowledge and understanding

1. What is the difference between a taxpayer's right and a taxpayer's obligation?
2. Explain why VAT is classified as an indirect tax.
3. State two advantages of registering for a Taxpayer Identification Number (TIN).
4. Give two reasons why the government imposes consumption (excise) tax on certain goods.

B. Skills

1. A registered business buys goods worth FRW 120,000 (price excludes VAT).
Calculate:
 - a) The VAT charged
 - b) The total cost including VAT
2. A small registered company earns a profit of FRW 18,500,000 in one year. Calculate the corporate income tax that it must pay.
3. A plot of residential land has a market value of FRW 15,000,000. Calculate the property tax owed.

C. Attitude and Values

1. Explain one way paying taxes helps improve the welfare of the community.
2. Describe one responsible behaviour expected from a taxpayer when dealing with RRA.

5.6.2 Project Activity

Amina Supplies is a small shop in your community. Every month, the business earns FRW 1,200,000 in sales. Amina employs two workers:

- Employee 1 earns FRW 150,000 per month.
- Employee 2 earns FRW 90,000 per month.

Although Amina Supplies is not required by law to register for VAT because its annual sales are below the threshold, Amina is considering voluntary VAT registration in the future.

Working in groups, analyse the scenario of Amina Supplies by completing the following:

1. Identify the taxes that Amina Supplies must pay based on the information provided (for example PAYE, and possibly VAT if she chooses to register).
2. Calculate the monthly PAYE for each employee based on the PAYE tax rates in Rwanda.
3. Determine whether VAT applies, and if Amina voluntarily registered, show how VAT on monthly sales would be calculated.
4. Explain briefly why these taxes are important for the business, the government, and the community.
5. Present your findings in a short written report showing your calculations and explanations.

UNIT 6:

PERSONAL FINANCIAL HABITS AND BUDGETING

Key Unit competence: Ability to prepare a personal budget

Learning Objectives

At the end of this unit, you should be able to:



Knowledge and understanding:	Skills	Attitude and values
- Explain financial habits and distinguish between good and bad financial habits - Explain the meaning of budgeting and personal budgeting - Describe the role and importance of personal budgeting - Identify the key elements of a budget - Explain the steps involved in budget preparation	- Analyse personal spending patterns and identify areas for improvement - Classify expenses as needs or wants in real-life scenarios - Set realistic short-term, medium-term, and long-term financial goals - Analyse the main parts of a budget. - Prepare a simple cash budget. - Review and adjust a personal budget	- Appreciate the importance of budgeting in daily life - Budget responsibly for personal and business activities - Advocate for budget preparation within the community

6.0 Introduction

Every day, people make decisions about how to use their money, and these decisions gradually develop into financial habits. Some habits help individuals manage resources wisely, while others may lead to waste and financial problems. In this unit, learners explore financial habits, including the difference between good and bad habits, and why positive financial habits are important for a stable life. The unit also introduces practical money management techniques such as identifying needs and wants, setting financial goals, and preparing a personal budget. Through these lessons, learners develop skills for responsible and effective money management.



Introductory Activity

Discuss the ways people manage money in daily life. Then answer the following questions:

1. What are examples of good and poor financial habits you observe at home or among friends?
2. Why is it important to plan and manage money carefully?

6.1 Financial Habits



Learning activity 6.1

Discuss and answer the following questions:

1. Explain the meaning of financial habits and budgeting in your own words.
2. Create a list of sources of income for an individual or a family over one month. Then, list the needs and wants that require spending money. Analyse the difference between total income and total expenses, and discuss how good financial habits can help manage this variation.

6.1.1 Meaning of Financial Habits

Financial habits refer to the regular practices or behaviours that a person follows in managing their money. These habits reveal how an individual manages their money over time, including how they earn, save, spend, and invest it. Good financial habits help a person use money wisely, meet financial goals, avoid debt, and plan for the future. On the other hand, poor financial habits can lead to overspending, debt, and financial stress. Examples of financial habits include saving part of your pocket money, preparing a budget before spending, keeping records of expenses, or buying items without planning.

6.1.2 Types of Financial Habits

Financial habits can be good or bad, depending on whether they help or harm your financial well-being.

Good Financial Habits

Good financial habits are behaviours that help you manage money wisely, achieve your goals, and avoid unnecessary debt. Examples include:

- Saving regularly, even a small amount.
- Making a budget and sticking to it.
- Tracking your income and expenses.
- Spending money wisely on needs before wants.
- Planning for emergencies or unexpected expenses.

Importance of Good Financial Habits

Developing good financial habits helps individuals:

- Use their money efficiently.
- Make better financial decisions.
- Avoid overspending and debt.
- Prepare for future financial needs.

Bad Financial Habits

Bad financial habits are behaviours that can harm your financial situation. Examples include:

- Spending money without thinking or planning.
- Not saving or planning for emergencies.
- Borrowing unnecessarily or accumulating debt.
- Ignoring financial responsibilities, such as bills or loan payments



APPLICATION ACTIVITY 6.1

Amina receives FRW 30,000 as pocket money each month. She spends some on snacks, school supplies, and saves a portion for emergencies. Last month, she spent FRW 15,000 on snacks, FRW 5,000 on supplies, and saved FRW 5,000.

The remaining money was spent on other small needs.

1. Identify Amina's good and bad financial habits from the scenario.
2. Calculate how much money Amina has left after her planned spending and savings.
3. Suggest one way Amina could enhance her financial habits to save more.
4. Explain why developing good financial habits is important for Amina's future.

6.2 Techniques for Managing Money



Learning activity 6.2

List items they or their families spend money on and identify which are needs and which are wants. Then, each learner sets one short-term, one medium-term, and one long-term financial goal. Finally, prepare a simple budget using the identified income and expenses and discuss ways to save for their goals.

6.2.1 Prioritising Needs vs. Wants

Needs are essential items or services required for daily living, such as food, school fees, or clothing. Wants are items or services that are not essential, like video games, expensive clothes, or treats. Prioritising means spending money on needs first, and then deciding how much can be spent on wants. This helps prevent overspending and ensures that essential expenses are always covered.

6.2.2 Setting Financial Goals

Financial goals are targets or plans for how you want to use or save your money in the future. Goals can be short-term (saving for a school trip), medium-term (buying a bicycle), or long-term (saving for higher education). Setting clear goals helps you stay focused, motivates you to save, and makes it easier to make financial decisions.

6.2.3 Budgeting

A budget is a plan for how to use your money over a specific period. It helps you track your income, plan your expenses, and save for your goals. Budgeting ensures that you do not spend more than you earn and allows you to make adjustments if unexpected costs arise. By budgeting, you can control your money rather than letting money control you.



APPLICATION ACTIVITY 6.2

Mutabazi receives a weekly allowance of FRW 10,000. He spends money on transport, lunch, and school supplies. He also wants to buy snacks and a small gift for a friend. He plans to save some money each week.

1. Identify Mutabazi needs and wants from the scenario.
2. If Mutabazi decides to save 20% of his allowance, calculate how much he saves and how much remains for spending.

6.3 Personal Budgeting



Learning activity 6.3

1. List common sources of income and typical expenses in their community.
2. Classify these expenses as needs or wants.
3. Discuss how creating a personal budget can help control spending, meet essential needs, and promote saving for future goals.

6.3.1 Meaning and Role of Personal Budgeting

Meaning of budget and personal budgeting

A budget is a plan that shows how much money you expect to get and how you plan to use it. It helps you decide the best way to manage your money. A budget allows you to know in advance whether the money you have will be enough to cover your needs and some of your wants. If your money is not enough for everything you wish to do, a budget helps you choose the most important things first. It also helps you see which expenses you should reduce or avoid. A budget shows you how much you can spend so that you do not run out of money or borrow unnecessarily.



Figure 6.1 Personal budgeting

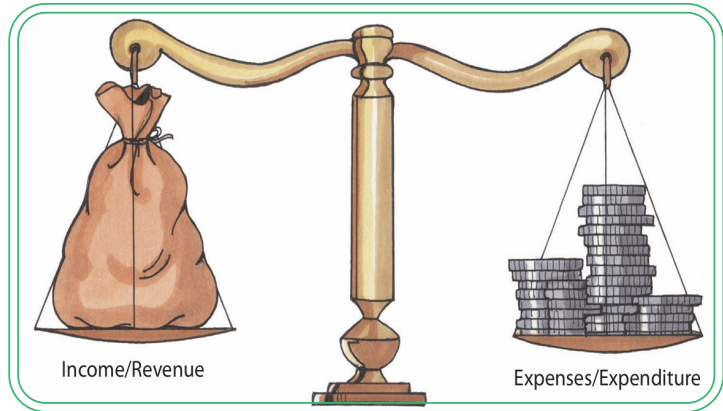


Figure 6.2 Balancing Income and Expenses

A personal budget is a plan that shows how an individual expects to earn and spend money over a given period, such as a month or a year, but they all show income (money received) and expenses (money spent). For example, in a government budget, income mainly comes from taxes, and the money spent on services like education and health care is the government's expenses. In a business, income comes from selling goods and services, while expenses include salaries, rent, and other costs.

Just like a government or a business, individuals also need to plan how they use their money. This plan is called a personal budget. A personal budget lists all the money you expect to earn and all the things you plan to spend it on.

Although it is often prepared for a year, it can also cover shorter periods such as a month. A personal budget helps you plan for both immediate needs and future goals. It guides you in saving for important things such as school materials, clothes, a bicycle, or future studies. You can also use it to plan for long-term goals like buying land or a home. By creating and following a personal budget, you can manage your money wisely, reduce wasteful spending, and avoid unnecessary financial problems.

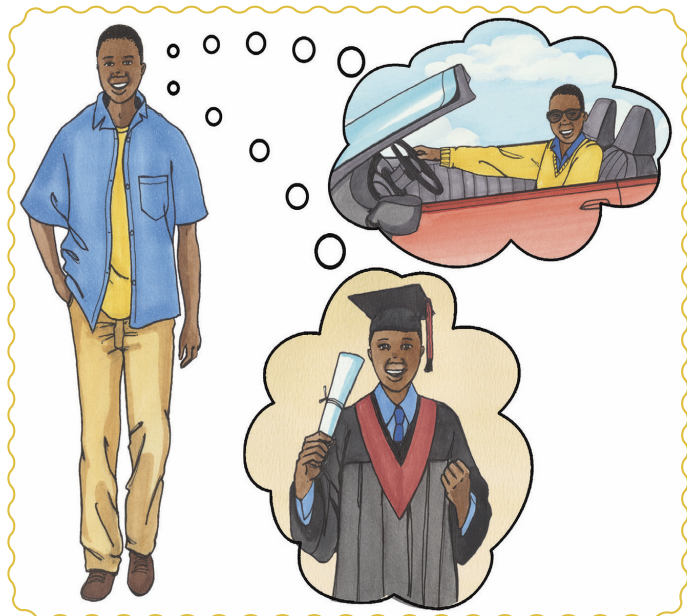


Figure 6.3 Budgeting can help you with important decisions

Role of personal budgeting

A personal budget is a powerful tool that can help you:

- Use your personal resources effectively.
- Make informed personal decisions about spending and saving.
- Minimise financial risks, such as debt or overspending.
- Understand your spending habits and identify areas to improve.
- Build a savings account for future needs or emergencies.
- Maintain a good credit rating by managing finances responsibly.

By following a personal budget, you can manage your money better, prepare for unexpected expenses, and work towards both short-term and long-term financial goals.

6.3.2 Elements of a Personal Budget

A budget includes a list of income and expenses for a time period.

Income

Income can be a salary or wages. A salary is income that is paid every month. Wages are paid weekly. You can also earn income from interest on money in a savings account at the bank. If you rent out part of your home, you earn rent. Students may receive income in the form of pocket money, allowances, bursaries, or small earnings from family activities. Knowing your income helps you understand how much you can spend and save. Add all your income in a column. This is your total monthly income. List your income for the following months. Your budget can be for six months or a year.

Income	January	February	March	April	May	June
Earnings (salary or wages)						
Interest earned						
Other income						
Total income						

Add all income



Expenses

In a personal budget, expenses can include:

- Rent or home loan repayments
- Utilities (gas, electricity and water)
- Rates and taxes
- Home maintenance and repairs
- Food
- Laundry

- School uniforms, school books
- School fees for senior secondary
- Clothes
- Transport
- Insurance
- Medical insurance
- Debt repayments.

Savings

This is the portion of your income that you set aside for future needs, emergencies, or special goals like buying a bicycle or saving for higher education.

Financial Goals

A personal budget should include both short-term goals (like saving for a school trip) and long-term goals (like saving for higher education or a personal project). Goals help you focus your spending and saving decisions.

Expenses	January	February	March	April	May	June
Rent or home loan repayments						
Utilities (gas, electricity and water)						
Home maintenance and repairs						
Rates and taxes						
Food						
Clothes						
Laundry						
School uniforms, school books						
School fees						
Transport						
Insurance						
Medical insurance						
Debt repayments						
Total expenses						

↑
Add all expenses

6.3.3 Steps in Preparing a Personal Budget

Creating a personal budget involves a few simple but important steps. These steps help you plan how to use your money wisely and achieve your financial goals:

1. **Determine Your Income:** List all sources of money you receive over a period, such as pocket money, allowances, gifts, or earnings from small jobs. Knowing your total income is the first step to managing your money.

- 2. Identify Expenses:** Make a list of all the things you spend money on. Separate them into needs (essential items like food, school supplies, or transport) and wants (non-essential items like toys or snacks).
- 3. Set Savings Goals:** Decide how much money you want to save and for what purposes. This can include short-term goals like saving for a school trip and long-term goals like buying a bicycle or saving for further studies.
- 4. Create the Budget Plan:** Compare your total income with your total expenses and savings goals. Make adjustments if necessary, so that you do not spend more than you earn and can still meet your savings objectives.
- 5. Monitor and Adjust:** Track your spending regularly to ensure you follow the budget. If unexpected expenses arise, review your budget and make changes to stay on track.

By following these steps, you can manage your money effectively, avoid unnecessary debt, and achieve both your short-term and long-term financial goals.



APPLICATION ACTIVITY 6.3

1. Using the information from the lesson, prepare your own one-month personal budget. Include your expected income, expenses, savings, and financial goals.
2. Study your completed budget and explain two spending habits you need to improve and one area where you are already managing your money well.
3. Imagine you want to save for an important item (for example: school shoes, a school trip, a bicycle, or a phone). Based on your budget, describe how you would adjust your expenses to achieve this goal within three months.



6.4. End of unit assessment

6.4.1. Questions for Assessment

A. Knowledge and understanding

1. What is a personal budget?
2. Mention two examples of income and two examples of expenses in a personal budget.
3. State any three roles of personal budgeting.
4. What is the difference between needs and wants in a personal budget?
5. List any three elements of a personal budget.

B. Skills

1. Using the table below, classify the following expenses as **needs** or **wants** and suggest one way to improve spending for each item.

Expense	Need / Want	Suggested Improvement
Transport to school		
Buying snacks every day		
School uniform		
Airtime		
Saving for a school trip		

2. A learner earns FRW 8,000 per month as pocket money and spends: FRW 3,000 on lunch, FRW 2,000 on transport, and FRW 4,000 on phone data.
 - Is the learner overspending or staying within their income?
 - Suggest two adjustments the learner could make to balance their budget.
3. Prepare a simple personal monthly budget using your estimated or real sources of income and expenses. Ensure to include at least two categories of needs, two categories of wants, and a savings plan.

C. Attitude and Values

1. Explain why it is important for a responsible person to follow a personal budget.
2. Describe one situation in your life where budgeting could help you avoid financial problems.
3. How can saving a portion of your income each month help you build good financial habits?

6.4.2 Project Activity

Create a personal monthly budget using either their real income and expenses or estimated amounts.

1. Identify your income: Begin by listing all sources of money you expect to receive in a month. This could include pocket money, gifts, allowances, small business earnings, or other income.
2. List your expenses: Write down everything you spend money on and classify each item as a need (essential) or a want (non-essential).
3. Prepare your monthly budget table: Create a table showing your total monthly income, total monthly expenses, and the amount you can save (income minus expenses).
4. Explain your savings plan: In 4–6 sentences, explain how much you plan to save each month, what you are saving for, and how your budget will help you achieve your goal.
5. Reflection: Answer the following questions: What did you learn from preparing this budget? Which expenses were hardest to manage? How will you improve your budgeting in the future?

UNIT 7:

INTRODUCTION TO ACCOUNTING ENTRIES FOR A BUSSINES

Key Unit competence: Ability to record basic accounting entries for a business.

Learning Objectives

At the end of this unit, you should be able to:



Knowledge and understanding:	Skills	Attitude and values
- Identify various source documents used in business - Explain the elements of the accounting equation - Explain the double-entry bookkeeping system - Identify the different books for prime entry.	- Categorise business transactions following the accounting equation - Record transactions in the books of prime entries - Use the double-entry bookkeeping system to record transactions	- Appreciate the need for keeping accounting records in business - Advocate for proper record-keeping in business - Show concern for poor record-keeping in business

7.0 Introduction

Accounting is the process of recording, summarizing, and reporting the financial transactions of a business. Proper accounting records help business owners and managers make informed decisions, track profits and losses, and comply with financial regulations. In this unit, learners identify source documents, understand the accounting equation, the double-entry system, and record transactions in the books of prime entry. These foundational skills are essential for accurate record-keeping and business sustainability



Introductory Activity

Kagoyire runs a small shop near her home. In one week, she:

- Started the business with FRW 50,000
- Bought goods worth FRW 30,000
- Sold some goods and received FRW 40,000
- Paid FRW 5,000 for transport

At the end of the week, Kagoyire wants to know:

- Whether she made a profit or a loss
- How much money does she still have
- How much she spent and received

However, she did not write down any of these transactions.

1. What problems may Kagoyire face because she did not record her business transactions?
2. Why is it important for a business to keep records of money received and money spent?
3. What information should Kagoyire record each time money enters or leaves her business?

7.1 Source Document



Learning activity 7.1

The school bursar brings a set of sample source documents to class, such as receipts, cheques, invoices, vouchers, payment orders, and pay slips.

1. Identify each source document and discuss the type of transaction it represents (e.g., cash payment, credit purchase, salary payment).
2. Practice filling out or writing sample source documents provided by the teacher, ensuring all details like date, amount, and purpose are correctly entered.
3. Share your completed documents with the class and explain why accurate source documents are important for recording business transactions.

7.1.1 Meaning and importance of source documents

A source document is the original document used in a financial transaction. It is the proof that the transaction took place. The source document is used to keep track of the money that was exchanged in the transaction. It includes details such as the date, amount, quantity of goods traded, the buyer and seller involved, and the place where the transaction occurred.

Source documents are important for several reasons:

Proof of Transactions: A source document proves that a transaction actually happened. Without it, there would be no evidence to support the amounts recorded in the accounting records.

Accuracy and Reliability: They help ensure that accounting records are accurate and complete. Each entry in the books should be backed by a source document, making it easier to verify or check the records later.

Audit Trail: Source documents create a record that can be followed during an audit. Auditors trace transactions from accounting records back to the original documents to confirm that the records are correct.

Control and Accountability: Keeping source documents promotes accountability. If there is a mistake or discrepancy, the original documents make it easier to identify where the error occurred.

Legal and Tax Purposes: Many tax authorities and legal systems require businesses to maintain source documents to support their financial statements and tax returns. Proper documentation helps avoid penalties and disputes.

7.1.2 Examples of Source Documents

Examples of source documents include an invoice, a pay slip, a deposit slip, a receipt, a voucher, a cheque and a payment order.

Invoice

When you buy a product or service, you receive an invoice from the seller. It shows the goods sold or services provided, quantities, prices, and total amount due. This document is a record of the sale for both the seller and the buyer. A buyer may pay immediately (cash on delivery) or after an agreed period, such as 30 or 60 days. This information is also on the invoice.

SFN BUILDING SERVICES
SFN BUILDING SERVICES, Kibongo Avenue 79, Butare. (493) 726 411
P.O. Box 100, Valley street 521, Butare.

INVOICE
INVOICE NO: 57049

DATE: 24 AUGUST 2016

QUANTITY	DESCRIPTION	AMOUNT
	BUILDING PERMIT	Frw 2 000,00
	ARCHITECTURAL SERVICES	5 000,00
	MACHINERY RENTAL	18 000,00
	SUBTOTAL	Frw 25 000,00
	VAT @ 18%	4 500,00
	TOTAL	29 500,00
	BALANCE DUE	Frw 29 500,00

Payment terms: COD

Figure 7.1: An Invoice

Pay slip

A pay slip is issued by an employer to an employee as proof of salary payment. It includes information such as basic salary, allowances, deductions, and net pay.

Kigali Enterprises Ltd.		For month ending 31 December 2025	
Employee Name: Jean de Dieu Makuza	ID: EMP-0452	Bank Account: Bank of Kigali, Acc. No. 123456789	
Department: Sales			
Earnings Basic Salary: RWF 400,000 Transport Allowance: RWF 50,000 Housing Allowance: RWF 70,000 Total Gross Pay: RWF 520,000		Deductions P.A.Y.E. Tax: RWF 98,000 RSSB Contribution (3%): RWF 24,000 Health Insurance (CBHI): RWF 15,000 Total Deductions: RWF 137,000	
		Net Pay (Take Home) RWF 383,000	
Received by: _____		Date: 05/01/2026	

Figure 7.2: A pay slip

Deposit slip

A deposit slip is a form used when a person wants to put money into their bank account. The customer fills in the slip with details such as their name, the account number, and the amount of money being deposited. After receiving the cash, the bank teller keeps the deposit slip and gives the customer a bank receipt. This receipt serves as proof that the money has been safely deposited into the account. A withdrawal slip is similar but is used when the customer wants to take money out of their bank account. It shows the customer's details and the amount to be withdrawn. Once the transaction is completed, the bank keeps the withdrawal slip and gives the customer their cash.

The date that the deposit was made → DATE 2 0

Details of the person that deposits the money →

The amount of money →

DEPOSIT SLIP		NATIONAL BANK OF RWANDA	
CREDIT			
Depositor			
Telephone			
Address			
ACCT NO			
Notes	RWANDAN FRANCS		
Coins			
Money Orders			
Subtotal			
Name (print)		Total	
DEPOSIT REFERENCE			

Figure 7.3: A bank deposit slip

Voucher

A voucher is an internal document used by a business to authorise payments. It shows why a payment is being made and the amount approved.

Chimpanzee Forest Lodge		PAYMENT VOUCHER
Payee: _____		PV number: _____
Method of payment: Cash ☐ bank transfer ☐ credit card ☐ debit card ☐		Date: _____
The sum of: _____		
Approved by: _____	Paid by: _____	Signature: _____

Figure 7.4: A Voucher

Receipt

A **receipt** is a source document given to a buyer as proof that **cash has been paid** for goods or services. It is usually issued by the seller immediately after receiving the money. A receipt shows important details such as the date, the amount paid, the items purchased, the name of the buyer (optional), and the name or stamp of the seller. Because it confirms that a cash transaction has taken place, a receipt is an important record for both the buyer and the seller.

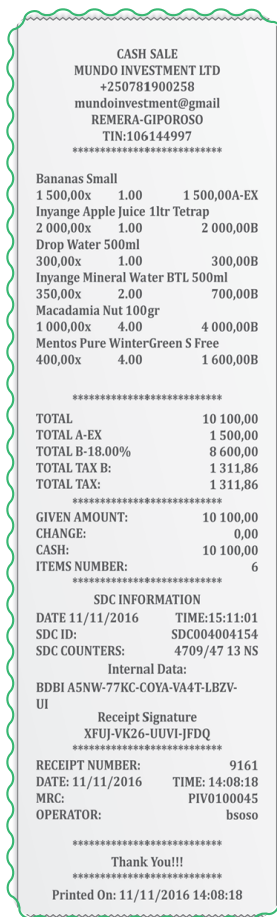


Figure 7.5: A Receipt

Cheque

A cheque is a written instruction that orders a bank to pay a specific amount of money from the cheque holder's account to the person or business named on the cheque. The three parties to a cheque are the:

- Drawer: person that signs the cheque and pays the money /bank account holder
- Drawee: bank that pays the money from the cheque
- Payee: person that receives the money

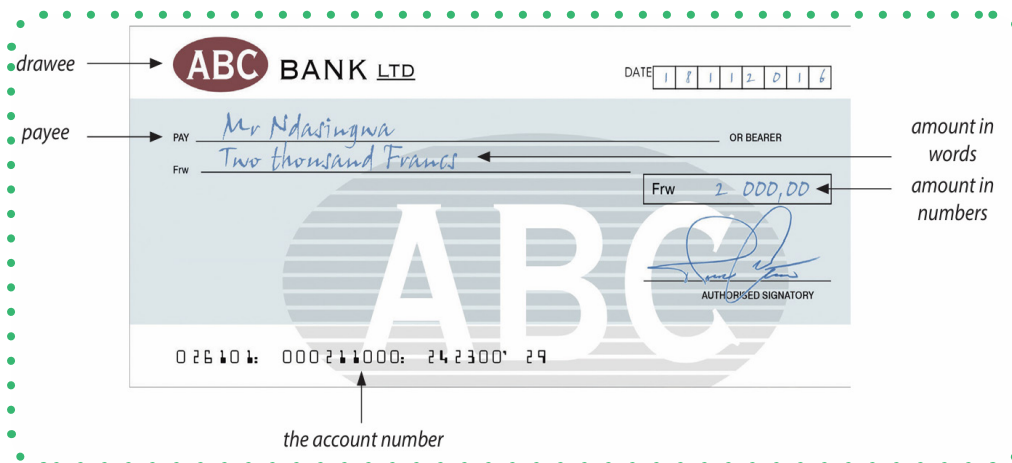


Figure 7.6: A Cheque

Payment order

A payment order is a written instruction used by organisations to authorise the transfer of money from one account to another, often for salaries, supplier payments, or official transactions.



APPLICATION ACTIVITY 7.1

Kamariza owns a small stationery shop called Kamariza's Stationery. On Monday, she receives FRW 150,000 from a customer who buys school supplies and deposits the money into her business bank account. She receives a deposit slip from the bank. On Tuesday, she pays FRW 50,000 to her supplier using a cheque for new notebooks. On Wednesday, she pays her assistant a salary of FRW 30,000 and gives them a pay slip as proof. She also issues receipts to customers whenever they make cash purchases.

- 1) Identify the names of source document for each of the following transactions considering Kamariza's business:
 - a. Depositing money into the bank
 - b. Paying the supplier for notebooks
 - c. Paying her assistant's salary
 - d. Cash sales to customers
- 2) For each source document identified, explain its purpose in the business.
- 3) Why is it important for Kamariza to keep all these source documents?

7.2 Accounting Equation



Learning activity 7.2

1. Research and discuss the meaning of the accounting equation, accounts, assets, liabilities, equity, and the principles of double-entry accounting.
2. Using the case study below, identify transactions that affect assets, liabilities, and equity, and complete the accounting equation for each transaction.
3. Jacob starts a stationery shop in his neighbourhood. The following transactions occur in his first month:
 - a. Jacob invests FRW 500,000 of his own money into the business.
 - b. He buys stationery items worth FRW 200,000 in cash from a supplier.
 - c. Jacob sells stationery to customers for FRW 150,000 in cash.
 - d. He receives a bill of FRW 50,000 for electricity to be paid next month.
 - e. Jacob pays FRW 20,000 as rent for the shop

- For each transaction, determine the effect on Assets, Liabilities, and Equity.
- Complete the accounting equation: $\text{Assets} = \text{Equity} + \text{Liabilities}$

7.2.1 Meaning of account and Accounting Equation

An account is a record that shows all the changes that have occurred in a particular item of a business, such as cash, inventory, or capital. It helps track how much is owned, owed, or invested in the business. Each account has two sides: the debit side and the credit side. Recording transactions in accounts allows a business to know its financial position at any time.

The accounting equation is a fundamental principle in accounting that shows the relationship between a business's resources and the sources of funding for those resources. It explains that everything a business owns must be equal to what it owes plus what the owner has invested. It is expressed as:

Assets = Liabilities + Owner's Equity

The accounting equation must always balance, meaning that every transaction affects at least two accounts.

The accounting equation ensures that the business's books are always balanced. Every transaction affects at least two accounts in a way that keeps the equation in balance, which is the basis of the double-entry accounting system. For example, if the owner invests FRW 500,000 in the business, the cash account (asset) increases by FRW 500,000, and the capital account (equity) also increases by FRW 500,000, keeping the equation balanced. This principle helps businesses maintain accurate records and understand their financial position at any point in time.

7.2.2 Asset accounts

Assets are resources owned by a business. They help the business operate and bring future benefits.

We differentiate between Non-current assets and current assets. Non-current assets are items which will stay for a long period of time, normally more than 12 months. A non-current asset is something that the business buys that is used to produce products and services. Land, buildings, delivery vehicles, and manufacturing machines are examples of non-current assets. Current assets are items which will stay for a short period of time, normally less than 12 months. A current asset is an asset such as stock of goods, account receivables, cash at bank and cash in hand. It includes items that the business sells or anything that can easily be converted to cash.

7.2.3 Liability accounts

Liabilities are amounts that the business owes to lenders, investors or other creditors. A liability is a debt that the company owes. When we buy expensive things, such as a car or a home, we usually borrow money that we must pay back over a long period of time. This is called a long-term liability. A business pays back a long-term liability over a period of more than a year.

A short-term liability is a debt that must be paid within a short period, usually less than one year. If the company buys raw materials on credit, the supplier usually wants payment within one month.

A telephone bill must also be paid within a short period of time, so this is also a short-term liability. An increase in liabilities means the business has borrowed or received goods or services on credit, while a decrease means it has settled its debts.

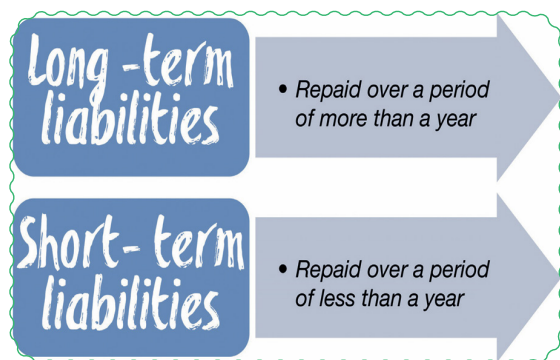


Figure 7.7: The difference between long-term and short-term liabilities

7.2.4 Equity accounts

Equity represents the owner's financial interest in the business. It includes the owner's capital (amount invested), drawings (amount withdrawn), and profits earned. Equity increases when the owner invests money or when the business makes a profit, and decreases when the owner withdraws funds or when the business makes a loss.



APPLICATION ACTIVITY 7.2

Bright Star Stationery Shop began operations on 1 February. Use the following transactions to answer the questions:

1. The owner, Ngaboyisonga, invested FRW 300,000 in cash.
2. The shop purchased inventory worth FRW 50,000 in cash.
3. The business purchased shelves on credit for FRW 80,000.
4. Bright Star recorded cash sales of FRW 40,000.
5. Ngaboyisonga withdrew FRW 10,000 from the business for personal use.
 - For each transaction, identify whether it affects assets, liabilities, or equity, and state whether each item increases or decreases.
 - Complete the accounting equation, $\text{Assets} = \text{Liabilities} + \text{Equity}$, after each transaction to show that it remains balanced.

7.3 Double-entry bookkeeping system



Learning activity 7.3

Rwagasana starts a small business selling school supplies. He deposits FRW 50,000 into the business bank account and pays FRW 20,000 in cash for goods

1. Identify what accounts are affected by each transaction
2. Discuss which account should increase and which should decrease
3. Explain how the accounting equation remains balanced
4. Share your answers with the class.

The double-entry bookkeeping system is a method of recording financial transactions in which each transaction affects at least two accounts: one account is debited and another is credited. This means that for every financial transaction, the total amount recorded as debits must equal the total amount recorded as credits. This system is based on the principle that the accounting equation (Assets = Liabilities + Equity) must always remain balanced. By recording transactions in this way, the double-entry system ensures accuracy and provides a logical method for tracking financial activity. It also helps to identify errors, because if the total debits do not equal the total credits, it signals that a mistake may have occurred.

For example, if a business purchases goods worth FRW 10,000 in cash, the Cash account is credited (reduced) by FRW 10,000, while the Purchases account is debited (increased) by FRW 10,000. This ensures that the overall accounts remain balanced and the business can track both its expenses and available cash accurately.

Assets		=	Liabilities		+	Owner's Equity	
Debit	Credit		Debit	Credit		Debit	Credit
Increase (+)	Decrease (–)		Decrease (–)	Increase (+)		Decrease (–)	Increase (+)

Figure 7.8: Every transaction has a debit and a credit entry

In accounting, the terms debit and credit serve as directional signals. A debit indicates the left side of a T-account, while a credit indicates the right side. Recording an amount on the left side of an account is called debiting, and recording on the right side is called crediting. These are commonly abbreviated as Dr. for debit and Cr. for credit. Different types of accounts are used to record a business's assets, liabilities, equity, income, and expenses. An account is the first step in preparing accurate financial records for a business. By using accounts, businesses can systematically track transactions, monitor balances, and ensure the accuracy of financial statements.

Dr	Account Name	Cr
Debit		Credit

Figure 7.9: An account is shaped like a T

Examples:

Example: Rwagasana starts a small business selling school supplies. He deposits FRW 50,000 into the business bank account and pays FRW 20,000 in cash for goods.

1. Identify which accounts are affected by each transaction.
2. For each transaction, indicate which account is debited and which is credited.
3. Record the transactions in T-accounts for Cash, Bank, Purchases, and Owner's Capital.
4. Ensure that the accounting equation remains balanced after each transaction.

Transactions:

- Deposit FRW 50,000 into the business bank account.
- Purchase goods for FRW 20,000 in cash.

Draw T-accounts for each account involved

Answer:

1. Deposit FRW 50,000 into the business bank account
 - Bank account is debited (increased) by FRW 50,000
 - Owner's Capital is credited (increased) by FRW 50,000
2. Purchase goods for FRW 20,000 in cash
 - Purchases account is debited (increased) by FRW 20,000
 - Cash account is credited (decreased) by FRW 20,000

Examples:

DR	Bank Account	CR
Capital	50,000	

DR	Cash Account	CR
	Purchases	20,000

DR	Purchase Account	CR
Cash	20,000	

DR	Capital Account	CR
	Bank	50,000



APPLICATION ACTIVITY 7.3

Aisha starts a small stationery shop. The following transactions occur during her first week of business:

1. Aisha invests FRW 100,000 as her capital into the business bank account.
2. She buys goods worth FRW 40,000 in cash for resale.
3. She pays FRW 10,000 for shop rent in cash.
4. She receives FRW 20,000 from a customer as cash sales.
 - a. Identify all the accounts affected by each transaction.
 - b. For each transaction, indicate which account should be debited and which should be credited.
 - c. Record the transactions in T-accounts for Cash, Bank, Purchases, Rent Expense, Sales, and Owner's Capital.
 - d. Reflect on the activity: Which account had the most movement? How does the double-entry system help Aisha keep her accounts accurate and balanced?

7.4 Books of Prime Entry



Learning activity 7.4

Match the following transactions that were carried out in XYZ Ltd with appropriate prime books to record them:

i. Bought a furniture on credit	a. Purchases returns journal
ii. Sold goods amounting to 100,000FRW cash	b. Sales journal
iii. Purchased goods on credit from Teta, 20,000FRW	c. General journal
iv. Sold goods on credit to Berwa, 40,000FRW	d. Purchases journal
v. Received goods returned by Berwa 20,000FRW	e. Cash book
vi. Returning some goods damaged in transit to Teta, 10,000FRW	f. Sales returns journal

7.4.1. Meaning and purpose of books of prime entry

Books of prime entry, also known as books of original entry, are accounting records where business transactions are recorded for the first time using information from source documents. Transactions are recorded in the order in which they occur to ensure accuracy and completeness.

These books help a business organise transactions by type, reduce errors, and make posting to the ledger easier. They also provide a clear accounting trail, which is important for checking records, preparing financial statements, and making business decisions. The entries in a prime book are arranged according to when they happened (they are in chronological order).

7.4.2 Types of books of prime entry

The main books of prime entry are:

- General Journal
- Sales Journal
- Purchases Journal
- Sales Returns
- Purchases Return
- Cashbooks

When the information has been captured in the prime books, it is then transferred to the Ledgers. The Ledger accounts are used to prepare the financial statements for the business.

Debit and credit entries

It is sometimes difficult to identify the debit and the credit entries in each transaction. Use the guidelines below to decide which entry is the debit and which is the credit.

1st alternative:

Determine the:

- a) Giver account: account that gives value to another. Always giver accounts are credited.
- b) Receiver account: A/C that received value from the other always receiver accounts is debited.

2nd alternative:

Nature of account	Increase	Decrease	Normal balance
Capital	Cr	Dr	Cr
Liability	Cr	Dr	Cr
Income	Cr	Dr	Cr
Expense	Dr	Cr	Dr
Assets	Dr	Cr	Dr

General Journal

The general journal, also called the master journal, is used to keep a chronological record of all financial transactions of a business. It records non-routine transactions that cannot be entered in other subsidiary books. A typical general journal has columns for the date of the transaction, a description of the account, a posting reference (PR), and the debit (Dr) and credit (Cr) amounts.

Every debit entry in the journal is posted as a debit in the ledger, and every credit entry is posted as a credit, ensuring that the accounting equation remains balanced. The general journal serves as a chronological and accurate record of transactions, providing a clear audit trail for all financial activities and supporting proper accounting control.

An illustration of a general journal format is shown below:

GENERAL JOURNAL

Date	Count Description	PR	Debit	Credit

Illustration 1. Below are the General Journal entries from Rwagasana business transactions

General Journal				
Date	Account Description	PR	Debit	Credit
	Bank		50,000	
	Capital			50,000
	Purchases		20,000	
	Cash			20,000

Illustration 2. The following transactions are for Muteteri Ltd for the month of October 2024.

Oct. 1 Started business with FRW 20,000,000 cash

Oct. 2 Purchase of land for the business at FRW 3,000,000 by cash

Oct.4 Purchased office equipment on credit from Equipment suppliers Ltd at FRW 2,000,000

Oct. 5 Obtained bank loan of FRW 8,000,000 and deposited to a bank A/C

Oct.15: Made part payment of FRW 1,500,000 to Equipment suppliers Ltd by cheque.

Oct. 17: Bought motor vehicle from TOYOTA RWANDA at a cost of FRW 15,000,000.

Made cash payment of FRW 10,000,000, paid FRW 3,000,000 by cheque and promised to pay balance later.

Oct. 20: Sold a portion of land that was fully unutilized for cash FRW 500,000

Oct. 25: Fully settled the balance of FRW 2,000,000 by cheque due to TOYOTA RWANDA for the motor vehicle

Oct. 30: FRW 800,000 business cash was used to entertain relatives from upcountry.

Required: Record the above transactions in the general journal

Answer

Date	Details	PR	Debit (FRW)	Credit(FRW)
Oct.1	Cash A/C Capital Being cash used to start a business		20,000,000	20,000,000
Oct. 2	Land A/C Cash A/C Being land purchased by cash		3,000,000	3,000,000
Oct. 4	Office equipment A/C Account Payable - Equipment Suppliers Ltd Being equipment purchased on credit		2,000,000	2,000,000
Oct. 5	Bank A/C Loan A/C Being acquisition of a bank loan		8,000,000	8,000,000
Oct. 15	Account Payable - Equipment suppliers Ltd A/C Bank A/C To record part of payment to Equipment Suppliers Ltd		1,500,000	1,500,000
Oct. 17	Motor vehicle A/C Cash A/C Bank A/C Account Payable - Toyota Rwanda a/c Being motor vehicle purchased from Toyota Rwanda		15,000,000	10,000,000 3,000,000 2,000,000
Oct. 20	Cash A/C Land A/C Being sale of land sold		500,000	500,000

Oct .25	Account Payable - Toyota Rwanda A/C Bank A/C Being fully paid of the outstanding amount to Toyota Rwanda		2,000,000	2,000,000
Oct. 30	Drawings A/C Cash A/C Being cash used for a private affair		800,000	800,000

Sales Journal

The Sales Journal (Sales Day Book) is a book of original entry used to record credit sales only, in the order they occur. Each credit sale is entered from sales invoices, and the customer's account is debited in the ledger. At the end of the posting period, the total of the sales journal is credited to the Sales Account in the ledger. This process completes double entry and helps ensure accuracy, as the total credit sales should agree with the sum of individual customer balances.

Format of Sales Journal or Sales Daybook

Date	Account debited (Debtors' account)	Invoice No	LP	Amount

Illustration: The following credit transactions took place in the business of Akaliza Traders during the month of February 2022.

- Feb. 2 Sold 50 bags of Cement at FRW 10,000 each on credit to Bahizi
- Feb. 2 Sold 70 bags of cement at FRW 10,500 each on credit to Horizon Ltd
- Feb 3 Sold 500 bags of cement at FRW 10,500 each on credit to Fair Constructors Ltd less a 2% trade discount.

Feb 10 Sold 600 bags of cement at 10,200 each on credit to Real Constructors Ltd, receiving half the amount in cash.

Required: Prepare the Sales Journal for Akaliza Traders for February 2022.

Answer

Akaliza Traders Ltd

Sales Journal

Date	Account debited (Debtors' account)	Invoice No	LP	Amount
Feb. 2022				
2	Bahizi			500,000
2	Horizon Ltd			735,000
3	Fair Constructors Ltd			5,145,000
10	Real Constructors Ltd			3,060,000
	Total posted to Sales A/C			9,440,000

Purchases Journal

The Purchases Journal is a book of original entry used to record credit purchases of goods. Only purchases made on credit are entered, based on suppliers' invoices. Each transaction is recorded daily and in chronological order. When a credit purchase is entered, the supplier's account is credited in the ledger. At the end of the month, the total of the Purchases Journal is debited to the Purchases Account to complete the double entry. The total in the Purchases Account should match the sum of individual supplier accounts.

Format of Purchases Journal

Date	Account credited (Creditors' account)	Invoice No	LP	Amount

Example: During the month of February 2022 Akaliza Traders had the following transactions in its business:

- February 1 Purchased 2000 bags of cement at FRW 9,000 each on credit from CIMERWA.
- Bought 2,500 bags of cement at FRW 8,500 each on credit from SIMBA cement less 2.5% trade discount
- 13 bought 1000 bags of cement at FRW 9,200 each from HIMA cement on credit.

Required: Prepare the purchase Journal for Akaliza Traders for February 2022.

Answer

Akaliza Traders Purchases Journal

Date	Account credited(Creditors' account)	Invoice No	LP	Amount
Feb. 2022				
1	CIMERWA			18,000,000
2	SIMBA CIMENT			20,718,750
13	HIMA CIMENT			9,200,000
	Total posted to purchases A/C			47,918,750

Sales Returns Journal

A Sales Returns Journal records transactions when a customer returns a product. This usually happens when goods are damaged or when a customer receives an incorrect order. This book is used to record credit note issued for goods returned to the seller. The individual items are recorded in the sales returns day book as credit notes issued, and are immediately posted to the credit of the personal accounts of the customers concerned in the ledger. At the end of the posting period, the total in the sales returns Journal representing total sales returns is debited to the sales returns inwards account in the ledger to complete the double entry and to record the sales returns in the ledger.

Format of sales returns day book

Date	Account credited(Debtors' account)	Credit note No	LP	Amount

Example: Record the following transactions in Mugisha's sales returns journal

Jan. 2022	Amounts (FRW)
10th	Goods returned to us by Neema 22,000
	Goods returned to us by Musa 16,000
23 rd	Goods returned to us by Musa 18,000
	Goods returned to us by Bazizi 25,000
31 st	Goods returned to us by Shakilla 33,000

Answer

Sales returns journal

Date	Account credited(Debtors' account)	Credit note No	LP	Amount
Jan.2022				
10 th	Neema			22,000
	Musa			16,000
23 rd	Musa			18,000
	Bazizi			25,000
31 st	Shakilla			33,000
	Total posted to Returns inwards A/C			114,000

Purchases Returns Journal

The Purchases Returns Journal is used to record goods returned to suppliers when they were originally bought on credit. Returns may occur due to poor quality, damage, or incorrect delivery, and the supplier issues a credit note to confirm the reduction in the amount owed. Each credit note is recorded in chronological order, showing the net value after any trade discount. At the end of the accounting period, the journal is totaled and the total is credited to the Purchases Returns (Returns Outwards) account in the ledger to complete the double-entry process. This journal helps ensure accurate records of expenses and supplier balances.

Format of purchase returns Journal

Date	Account debited(Creditors' account)	Credit note No	LP	Amount

Example: Record the following transactions in the appropriate subsidiary book of Kabarega for February 2022.

- Feb. 3 Returned 100 bags of cement to SIMBA Cement bought at FRW 8500 each and received a credit note No. 12
- Feb.4 60 bags of cement costing FRW 9200 each were returned to HIMA cement, and a credit note No. 14 was received

Answer

Date	Account debited(Creditors' account)	Credit Note No	LP	Amount
Feb.2022				
3	SIMBA Cement	12		850,000
4	HIMA cement	14		552,000
	Total posted to credit of Returns Outwards A/C			1,402,000

Cash Book (single column)

The Cash Book (single column) is a book of original entry used to record all cash transactions of a business in chronological order. It serves both as a journal, because transactions are first recorded in it, and as a ledger, because it shows the cash account with debit and credit entries. The single-column cash book contains only one amount column on each side, which is used to record cash receipts and cash payments. Bank transactions are not included in this type of cash book.

Cash received by the business is recorded on the debit (left-hand) side of the cash book because cash is an asset, and an increase in an asset is debited. Cash paid out by the business is recorded on the credit (right-hand) side because it represents a decrease in cash. Each entry shows the date, details of the transaction, a folio reference, and the amount of cash received or paid. The single-column cash book helps a business to keep a clear and accurate record of its daily cash movements. At the end of a given period, such as a day, week, or month, the cash book is balanced to find the cash balance on hand. This balance represents the amount of physical cash the business should have.

Format of a single column

Dr				Cr			
Date	Details	Folio	Amount (Fwf)	Date	Details	Folio	Amount

Example: From the following transactions during the month of January, write Kagoyire's one column cash book. She started business on 1st January 2022 having transferred FRW 9,600,000 from her private bank account to the business office.

January 1st Paid FRW 480,000 for rent for the month and made purchase of FRW 3,830,000.

2nd Paid FRW 380,000 for stationery and FRW 192,000 for stamps

4th Cash sales FRW 1,728,000

7th Paid FRW 288,000 in respect of wages to assistant.

10th Borrowed FRW 4,800,000 from Joyce, a friend.

13th Bought a used Pick-up for FRW 9,216,000 from Akagera Garage against FRW 1,920,000 deposit

19th Cash sales FRW 4,224,000

20th Paid wages for two weeks, FRW 576,000

23rd Bought FRW 6,240,000 goods from ABC Wholesalers Ltd. on credit

29th Drew FRW 2,880,000 for private use

30th Cash sales FRW 2,688,000

31st Paid another FRW 5,760,000 off pick-up account.

Answer

Kagoyire

Cash book for the month of January 2022

Date	Details	Folio	Amount	Date	Details	Folio	Amount
2022			FRW	2022			FRW
1-Jan	Capital A/C		9,600,000	Jan.1	Rent		480,000
4	Sales		1,728,000	1	Purchases		3,830,000
10	Loan – Joyce		4,800,000	2	Stationery & Postage		572,000
19	Sales		4,224,000	7	Wages		288,000
30	Sales		2,688,000	13	Motor vehicle		1,920,000
				20	Wages		576,000
				29	Drawings		2,880,000
				31	Akagera Garage		5,760,000
					Balance c/d		6,734,000
			<u>23,040,000</u>				<u>23,040,000</u>
Feb. 1	Balance b/d		6,734,000				



APPLICATION ACTIVITY 7.4

Amani Traders is a small retail business dealing in groceries. During the first week of April 2025, the following transactions took place:

April 1: Started business with cash of FRW 1,200,000.

April 2: Bought goods worth FRW 450,000 on credit from Kivu Wholesalers Ltd.

April 3: Sold goods on credit worth FRW 320,000 to Nyirahabimana.

April 4: Received cash FRW 180,000 from cash sales.

April 5: Returned damaged goods worth FRW 50,000 to Kivu Wholesalers Ltd and received a credit note.

April 6: Nyirahabimana returned goods worth FRW 40,000 and was issued a credit note.

April 7: Paid FRW 120,000 in cash for shop expenses.

Required:

- a) Identify the appropriate book of prime entry to record each of the above transactions.
- b) Record the transactions in the correct books of prime entry, showing proper dates, details, and amounts.



7.5 End of unit assessment

7.5.1. Questions for Assessment

A. Knowledge and understanding

1. Define a source document and give three examples.
2. State the accounting equation and explain each component.
3. Explain the meaning of debit and credit in accounting.
4. Identify and describe the main types of books of prime entry.
5. Explain why keeping proper accounting records is important for a business.

B. Skills

1. From the following transactions of Bright Star Shop, identify the accounts affected, indicate which is debited and credited, and complete the accounting equation:

- Owner invests FRW 500,000 cash
- Buys goods worth FRW 200,000 in cash
- Pays assistant salary FRW 50,000
- Sells goods on credit FRW 150,000
- Receives cash from a customer for a previous credit sale FRW 100,000
- Buys office furniture worth FRW 80,000 on credit
- Pays electricity bill FRW 20,000 in cash
- Owner withdraws FRW 30,000 for personal use
- Receives a loan from the bank FRW 200,000
- Purchases stationery for FRW 15,000 in cash

2. The following credit sales occurred in March 2025 at Kigali Traders:

Mar 2: Sold 30 boxes of pens at FRW 5,000 each on credit to Nyiramana Ltd.

Mar 4: Sold 50 boxes of notebooks at FRW 7,500 each on credit to Horizon Traders.

Mar 8: Sold 20 boxes of markers at FRW 12,000 each on credit to Bright School Supplies.

Mar 12: Sold 100 rulers at FRW 1,500 each on credit to Educate Ltd.

Mar 15: Sold 40 packs of paper at FRW 6,000 each on credit to Alpha Stationers.

Required: Prepare the Sales Journal for Kigali Traders for March 2025.

3. The following credit purchases occurred in March 2025 at Kigali Traders:

Mar 1: Purchased 200 boxes of pens at FRW 4,800 each on credit from Pen World Ltd.

Mar 3: Purchased 100 boxes of notebooks at FRW 7,000 each on credit from Note Suppliers Ltd.

Mar 5: Purchased 50 boxes of markers at FRW 11,500 each on credit from Marker Ltd.

Mar 10: Purchased 200 rulers at FRW 1,400 each on credit from School Supplies Ltd.

Mar 14: Purchased 80 packs of paper at FRW 5,800 each on credit from Paper art Ltd.

Required: Prepare the Purchases Journal for Kigali Traders for March 2025.

4. Record the following transactions for Kamanzi Traders in the General Journal. Identify the accounts to debit and credit and show proper narration for each transaction:

Jan 1: Owner invested FRW 1,000,000 cash into the business.

Jan 2: Bought office furniture worth FRW 250,000 in cash.

Jan 3: Purchased goods worth FRW 400,000 on credit from ABC Suppliers Ltd.

Jan 5: Paid salaries to employees FRW 100,000 in cash.

Jan 6: Sold goods on credit to John Ltd FRW 200,000.

Jan 8: Paid electricity bill FRW 25,000 in cash.

Jan 10: Received cash from a customer for a previous credit sale FRW 150,000.

Jan 12: Owner withdrew FRW 50,000 for personal use.

Jan 15: Obtained a loan from the bank FRW 500,000.

Jan 18: Paid part of the creditor ABC Suppliers Ltd FRW 200,000 by cheque.

5. Prepare a single-column cash book for the following transactions of Kamali Traders for January 2025:

Jan 1: Started business with FRW 1,500,000 cash.

Jan 2: Cash sales FRW 250,000.

Jan 3: Paid rent FRW 100,000.

Jan 4: Paid wages FRW 50,000.

Jan 5: Paid electricity FRW 20,000.
Jan 6: Received cash from a customer FRW 180,000.
Jan 7: Cash purchases FRW 120,000.
Jan 8: Paid water bill FRW 15,000.
Jan 9: Owner withdrew FRW 80,000 for personal use.
Jan 10: Cash sales FRW 300,000.
Jan 11: Paid for stationery FRW 25,000.
Jan 12: Paid insurance premium FRW 40,000.
Jan 13: Received cash from a customer FRW 200,000.
Jan 14: Paid for delivery charges FRW 35,000.
Jan 15: Cash sales FRW 400,000.

C. Attitude and Values

1. Explain why it is important for a business owner to keep all source documents.
2. Describe the consequences of poor record-keeping in a business.
3. Discuss how maintaining proper accounting records shows responsibility and accountability in managing a business.

7.5.2. Project Activity

A Senior Two business club runs a small kiosk at school called *Smart Stationery*. During the first week of March, the following transactions took place:

1. Owner invested FRW 500,000 cash.
2. Bought goods FRW 120,000 in cash.
3. Bought goods FRW 200,000 on credit from ABC Suppliers.
4. Cash sales FRW 80,000.
5. Credit sales FRW 150,000 to Nyiramana.
6. Paid rent FRW 50,000 cash.
7. Paid wages FRW 30,000 cash.
8. Received FRW 70,000 cash from Nyiramana.
9. Returned goods FRW 20,000 to ABC Suppliers.
10. Owner withdrew FRW 40,000 cash.

11. Cash sales FRW 90,000.
12. Credit sales FRW 60,000 to Horizon Shop.

Instructions:

- a. Carefully read the list of transactions provided.
- b. Identify which transactions involve cash and record them in the Cash Book (show receipts, payments, and running balance).
- c. Identify which transactions are credit sales and record them in the Sales Journal (include date, customer name, invoice number, details, and amount).
- d. Identify which transactions are credit purchases and record them in the Purchases Journal (include date, supplier name, invoice number, details, and amount).
- e. Ensure all entries are written in chronological order and amounts are accurate.
- f. Balance the Cash Book at the end of the period.
- g. Submit your completed records.
- h. Write a short reflection (5–6 sentences) on why accuracy and honesty are important in bookkeeping.

UNIT 8:

CONCEPTS OF METROLOGY AND QUALITY TESTING

Key Unit competence: Ability to apply basic concepts of metrology and quality testing in business

Learning Objectives

At the end of this unit, you should be able to:



Knowledge and understanding:	Skills	Attitude and values
– Explain the meaning of metrology, quality testing, and accurate measurement – Identify SI base units used in accurate measurement – Explain where and how base units are applied in business activities – Describe the steps involved in the quality testing process	– Analyse measurements for accuracy – Apply appropriate base units in different situations – Assess the quality testing process in simple business settings	– Appreciate the importance of accurate measurement in business – Show responsibility and honesty in measurement and testing – Value quality and safety in production and trade

8.0 Introduction

Metrology and quality testing are essential in business, trade, and daily life because they ensure that measurements are accurate, fair, and reliable. Accurate measurement helps businesses produce and sell the correct quantity of goods, reduce losses, and build trust with customers. Quality testing ensures that products meet required standards before reaching consumers, protecting both the business and the customer. In this unit, learners will study the basic concepts of metrology, learn about base units used in measurement, and understand how quality testing is carried out in business. These skills promote fairness in trade, improve product quality, and support safe and responsible business practices.



Introductory Activity

Observe common measuring instruments such as weighing scales, rulers, thermometers, stopwatches, and measuring cylinders used in shops, laboratories, and homes. Discuss situations where incorrect measurement could cause problems in business or daily life.

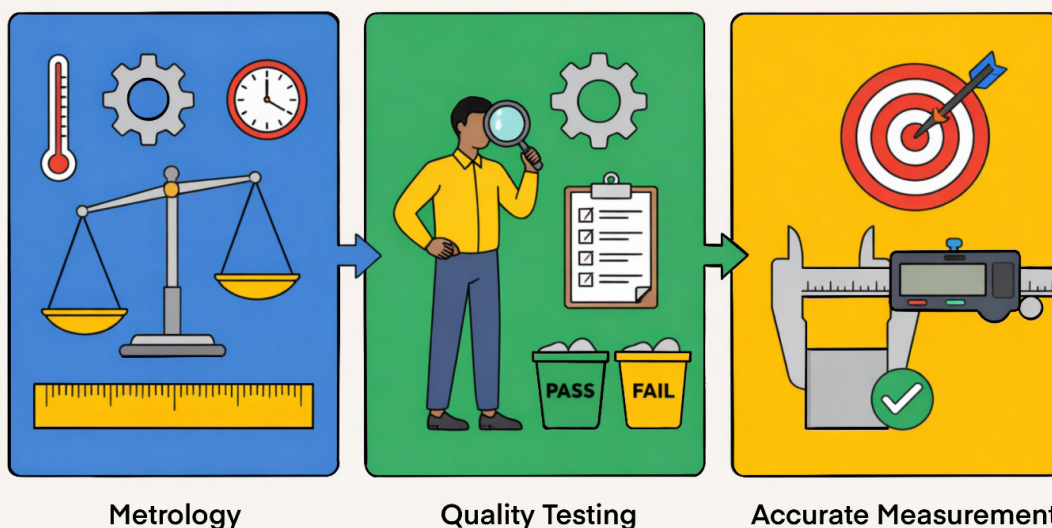


Figure 8.1: Understanding Metrology, Quality Testing, and Accurate Measurement

8.1 Meaning and Relationship Between Metrology, Quality Testing, and Accurate Measurement



Learning activity 8.1

Carefully examine one measuring instrument provided by the teacher (for example: a weighing scale, ruler, or measuring cylinder).

Discuss and answer the following questions:

1. What is the instrument used for?
2. Which unit of measurement is used with this instrument?
3. Why is it important that this instrument gives correct and consistent results?
4. What problems may arise in business if such instrument is inaccurate?
5. How does correct measurement help ensure quality and fairness in trade?

8.1.1 Meaning of Metrology, Quality Testing, and Accurate Measurement

Metrology

Metrology is the science of measurement. It involves establishing standard units of measurement, developing accurate measuring instruments, and ensuring that measurements are consistent and reliable everywhere. Metrology ensures that a kilogram, meter, or liter means the same thing in all places. In Rwanda, the Rwanda Standards Board (RSB) is responsible for overseeing metrology to ensure fairness and accuracy in trade. Proper metrology helps prevent disputes, reduce errors, and build trust between buyers and sellers.

Accurate Measurement

Accurate measurement means obtaining a value that is as close as possible to the true value of what is being measured. This requires correct instruments, proper techniques, and standard units. Accurate measurement helps businesses avoid losses, maintain quality, and ensure customers receive the correct quantity of goods. For example, if food is under-weighed or fuel is over-measured, customers are cheated. Accurate measurement supports quality control and customer satisfaction.

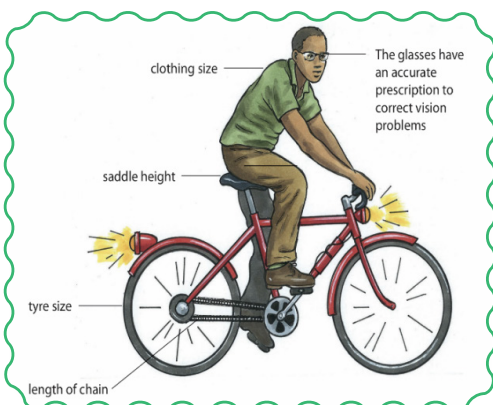


Figure 8.2: Measurements in everyday life

Quality Testing

Quality testing is the systematic process of examining products or services to determine whether they meet specific standards and specifications. It involves measuring, inspecting, and analysing products to ensure they are safe, reliable, and suitable for their intended use. Quality testing safeguards consumers, maintains product consistency, and enhances a business's reputation. It is important to note that quality testing does not automatically indicate a product is high quality; rather, it verifies whether the product meets predetermined standards. Proper procedures and methods must be followed during testing to obtain accurate and reliable results.

8.1.2 Relationship between Metrology, Accurate Measurement, and Quality Testing

Metrology, accurate measurement, and quality testing form an interconnected system essential for business integrity and consumer safety. Metrology establishes the universal standards and units of measure, providing the necessary framework so that measurements remain uniform and consistent across all businesses. Accurate measurement is the practical application of these standards using calibrated tools to ensure that goods are produced and sold in exactly the correct quantities. Quality testing then utilises these accurate measurements as a benchmark to assess whether a product meets specific safety and performance requirements before it reaches the market. Without the foundation of metrology, measurements would be inconsistent; without the precision of accurate measurement, quality testing would become unreliable; and together, these three pillars ensure fairness in trade, public safety, and industrial consistency.



APPLICATION ACTIVITY 8.1

Measure items such as the length of a desk, the mass of a bottle, and the volume of water using standard measuring instruments. Discuss why using standard units like meters, kilograms, and liters is important in business and daily life.

8.2 Accurate Measurement Base Units and Their Applications



Learning activity 8.2

Measure several everyday items around you, such as the length of a desk, the mass of a bottle, and the volume of water, using appropriate standard measuring instruments such as a metre rule, weighing scale, and measuring cylinder. Record your measurements carefully using standard units such as metres, kilograms, and litres.

Then, explain why accurate and standardised measurements are important in trade, production, and daily life. In your explanation, consider how accurate measurements promote fairness in transactions, consistency in production, and quality control.

8.2.1 Base Units Used in Accurate Measurement

Base units are standardised units used to measure physical quantities, providing a common reference that ensures accuracy and consistency. The International System of Units (SI) establishes these standards, making measurements reliable both locally and internationally. The SI defines seven base units: kilogram (kg) for mass, meter (m) for length, second (s) for time, kelvin (K) for temperature, ampere (A) for electric current, mole (mol) for the amount of substance, and candela (cd) for luminous intensity. All other units, called derived units, are based on these seven. For example, hertz (Hz), which measures frequency or the number of occurrences over time, is derived from the second. Using SI units allows businesses and scientists to perform accurate measurements, maintain consistent production quality, conduct fair trade, and ensure reliable results in scientific experiments and quality control processes.

Table 8.1: SI Base Units

SI Base Unit	Name	Symbol
Length	metre	m
Mass	kilogram	kg
Time	second	s
Electric current	ampere	A
Temperature	Kelvin*	K
Amount of substance	mole	mol
Luminous intensity	candela	cd

Celsius (°C) and Fahrenheit (°F) are commonly used units for measuring temperature, although the SI base unit is kelvin (K).

8.2.2 Application of base units

The application of base units is important in everyday activities, particularly in trade, quality testing, and production. Let's explore some key applications:

- **Trade:** In business transactions, base units ensure that products are bought and sold in consistent, standardized quantities. For example, goods such as rice, sugar, or fabrics are measured in kilograms or meters, depending on their nature. Using accurate and standardized units ensures fairness and prevents misunderstandings between buyers and sellers.
- **Quality Testing:** In industries like manufacturing and food production, quality testing relies on base units to ensure that products meet safety standards. For instance, the weight of ingredients or the length of materials may be measured using base units to verify if they fall within acceptable limits. Accurate measurements are essential to avoid faulty or dangerous products reaching the market.
- **Calibration:** Calibration involves checking and adjusting instruments or tools to ensure that they provide correct readings. Calibration is necessary to maintain the accuracy of measuring instruments like thermometers, scales, or gauges. Using base units in calibration ensures that instruments are set to the correct standards, providing reliable results in testing and production.

- **Verification:** Verification is the process of confirming that a product or process meets the required standards. This involves comparing measured values to predefined specifications. Verification may involve checklists or inspections to ensure that the product is manufactured correctly, meets quality standards, and is safe for use.

Base units are integral to ensuring precision and consistency in various processes. Whether it's for trade, quality testing, calibration, or verification, base units help maintain quality and fairness, leading to better products, safer environments, and trust in business practices.



APPLICATION ACTIVITY 8.2

A small business owner wants to sell sugar, rice, and bottled water in standardized quantities. Before selling, the owner needs to ensure that the items are measured accurately. The business also wants to check that the weighing scale, measuring cylinder, and meter rule are correctly calibrated.

1. Indicate which instruments, are used to measure the mass of sugar, the volume of water, and the length of a fabric sample. Measure and Record your measurements in SI base units.
2. Explain how using standardized units ensures fairness in selling these products.
3. Describe how calibration of instruments helps maintain accurate measurements.
4. Suggest ways to verify that the measurements are correct before selling the products.
5. Reflect on why accurate measurements and quality verification are important for customer trust and business reputation.

8.3 Quality Testing Proces



Learning activity 8.3

Simulate a simple quality testing process. Given a batch of sample items, such as bottled water, soap, or flour. Discuss and decide:

1. How to select a few items for testing (sampling)
2. What equipment is needed
3. What other materials will be required
4. How to follow proper procedures (test methods)

Quality testing is the process of examining a product or service to determine whether it meets specific standards and requirements. Carrying out a quality test does not necessarily mean that a product is of high quality; rather, it confirms whether the product complies with the required specifications. Quality testing follows systematic procedures that help identify defects or faults in products or services. The process covers all stages of production, including checking whether correct raw materials were used and whether workers involved have the required skills and knowledge. A quality test begins with selecting a representative sample, followed by inspection using appropriate tools and equipment, and ends with recording findings in a test report.

8.3.1 Sampling

Sampling refers to the selection of a small but representative portion of a batch of products for testing. Testing every item in a batch is often impractical because it requires too much time and money. Sampling allows businesses and laboratories to assess the quality of the entire batch using fewer items. The sample must be selected randomly and fairly to avoid biased results.

8.3.2 Equipment and Tools

Quality testing requires the use of suitable equipment and tools such as weighing scales, thermometers, microscopes, rulers, measuring cylinders, and testing machines. The type of equipment used depends on the nature of the product and the test being carried out. Accurate and well-maintained instruments are essential for obtaining correct results. Regular calibration of equipment ensures that measurements are accurate and standardised.

8.3.3 Reagents and Consumables

Reagents and consumables are materials used during the testing process. These include chemicals, indicator papers, test strips, and other materials required for analysis. The quality of reagents and consumables has a direct effect on the reliability of test results. Proper storage and correct use according to standard procedures are necessary to avoid errors during testing.

8.3.4 Test Methods and Reports

Test methods are approved procedures followed during quality testing to ensure consistency and accuracy. One common method is product inspection, where a checklist is used to identify defects such as cracks, leaks, or incorrect materials. Measurements may also be taken to confirm that the product meets required standards. After completing the tests, results are recorded in a test report. The test report compares the findings with the objectives of the test and helps determine whether the product has passed or failed the quality requirements.

8.3.5 Quality and Safety Controls in Laboratories

Laboratories that conduct quality testing must follow strict quality and safety controls to protect workers and ensure dependable results. These controls include proper handling and storage of chemicals, wearing protective clothing, maintaining cleanliness and order in the laboratory, and ensuring that instruments are regularly checked and maintained. Following safety rules and emergency procedures helps prevent accidents and supports accurate and reliable testing.



APPLICATION ACTIVITY 8.3

A small cooperative in your community produces bar soap for local shops. Recently, some customers complained that a few soap bars were cracked, lighter than expected, or had an unusual smell. The cooperative decides to carry out a quality testing process before supplying the next batch to the market.

1. Explain how a small sample of soap bars should be selected from the full batch for testing.
2. Identify the tools and equipment that would be needed to test the soap bars and state the purpose of each.
3. Describe the materials or consumables that may be required during the testing process.
4. Outline the test methods that should be followed to check the quality of the soap bars.
5. State at least two safety measures that should be observed while carrying out the tests.
6. Explain how the test results would be recorded and how the cooperative would decide whether the soap bars meet the required standards.



8.4 End of unit assessment

8.4.1. Questions for Assessment

A. Knowledge and understanding

1. Define the term 'metrology'.
2. Explain what is meant by accurate measurement.
3. List four SI base units used in precise measurement and specify what each measures.
4. Explain the meaning of quality testing.
5. Describe how metrology, accurate measurement, and quality testing are interconnected.
6. State two reasons why quality testing is vital in business.

B. Skills

1. A shopkeeper sells rice and sugar using a weighing scale.
 - Identify the appropriate unit of measurement used for these products.
 - Explain how accurate measurement helps the shopkeeper avoid losses.
2. Learners measured the length of a desk using a meter rule and obtained different results.
 - Suggest two reasons why their measurements may differ.
 - Explain how such differences can be avoided.
3. A factory produces bottled water for sale.
 - Explain how sampling can be used to test the quality of the bottles.
 - Identify two tools that may be used to test the quality of bottled water and state their use.
4. Describe the steps that should be followed when carrying out a simple quality testing process for a manufactured product.

C. Attitude and Values

1. Explain why a business owner should always use accurate measuring instruments.
2. Describe how honesty in measurement builds trust between sellers and customers.
3. Explain how following quality testing procedures shows responsibility in business operations

8.4.2 Project Activity

In general people often buy or use local products such as soap, flour, bottled water, or juice. These products must be measured and tested accurately to ensure safety, fairness, and customer trust.

Instructions:

1. Select a product commonly used in your home or school (e.g., a bar of soap, a packet of flour (Like AZAM), bottled water, or juice).
2. Collect real evidence:
 - Bring the product to class or take photos of its packaging.
 - Record the measurement units shown (liters, kilograms, milliliters, grams).
 - Note any quality marks (expiry date, Rwanda Standards Board logo “S mark, ISO, or any other indicated on the product”, batch number).
3. Investigate accuracy:
 - Compare the stated measurement (e.g., “1 liter”) with the actual measurement using a household tool (weighing scale, measuring jug, a cup).
 - Identify if the product meets the promised quantity.
4. Analyse quality checks:
 - Research or ask a local shopkeeper how suppliers ensure the product is safe (e.g., hygiene checks, expiry dates, packaging seals).
 - Compare two brands of the same product and evaluate which one shows stronger quality assurance.
5. Prepare a report or poster that includes:
 - A chart showing the product’s measurement units.
 - A photo or sketch of the product with highlighted quality marks.
 - A short analysis of whether the product meets standards.
 - An explanation of why accurate measurement and quality testing are important for customer satisfaction, trust, and business reputation.
6. Reflect :
 - Evaluate what might happen if businesses ignored accurate measurement or quality testing.
 - Suggest improvements businesses could make to increase customer trust.

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